



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 1

The lessons in "Secrets of Financial Astrology" will provide you with the tools to make your own trading decisions in the stock and futures markets. Financial astrology is really all about cycles, and I'll be introducing you to some astrologically based cycles that I've found particularly effective. The first of these is one that I frequently refer to in my nightly columns (the lunation cycle). However, before we get started, there are a few astrological definitions that you'll need to learn. I don't intend to complicate matters with a lot of technical jargon, but a basic understanding of the astrological language will make it easier for you to grasp the ideas that will be presented in this course.

The signs of the zodiac are divided into four groups called triplicities. They represent the four elements of fire, earth, air and water. The fire signs are composed of Aries, Leo and Sagittarius. The earth signs are composed of Taurus, Virgo and Capricorn. The air signs are composed of Gemini, Libra and Aquarius, and the water signs are composed of Cancer, Scorpio and Pisces.

The zodiacal signs are also divided into three groups called quadratures. They represent the three qualities of cardinal, fixed and mutable. The cardinal signs are composed of Aries, Cancer, Libra and Capricorn. The fixed signs are composed of Taurus, Leo, Scorpio and Aquarius, and the mutable signs are composed of Gemini, Virgo, Sagittarius and Pisces.

It's a good idea to look for correlations in the elements and qualities. For example, the last new moon cycle occurred on November 25th in the sign of Sagittarius. **Sagittarius is a mutable fire sign. That gives us the clue to look for trend changes in stocks when the Moon is transiting through either fire or mutable signs.** The Moon passed through Pisces (a mutable sign) on December 4th, and this correlated with a 3-day low (both closing and intraday) in the price of Cisco Systems. A 3-day low means that the price of the stock is lower than it was during the prior three trading days. It's important to remember that cycle work always demands clarification. A cycle should never be looked at as a magic bullet, where price trends reverse as if on cue. A cycle always needs confirmation. We'll delve deeply into the mysteries of the lunation cycle in next Wednesday's lesson... and also learn how to differentiate between true trend reversals and false signals, through the use of confirmations.



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Lesson 2

You can, with just a little bit of confirmation, accurately forecast a stock's price direction during a specific time frame. The real secret to this trading technique lies in properly interpreting the astrological language. I indicated the importance of the 'elements' (fire, earth, air and water) and 'qualities' (cardinal, fixed and mutable) in our first lesson. We'll learn how to apply those 'qualities' to the lunar cycle in the next two lessons.

Each sign is divided into three parts, which represents a total of 30 degrees for each sign of the zodiac. The 'decanate' is 10 degrees of a sign. Each 'decanate' is then divided into four parts called 'duads', of 2 1/2 degrees each. **Think of the astrological sign as the projector and the decanate as the receiver. The 'duad' shows the daily experiences that help in the development of the sign.** I said in the first lesson that I would try to stay away from too much technical jargon, but have patience with this one. It's a real jewel of a trading strategy, and is well worth the effort to learn it.

Let's take a look at the 4-phase lunar cycle, and see how we can apply this information to our stock trading. The Moon formed a conjunction aspect (0 degrees) with the Sun on 8/29/00, at 6 degrees and 22 minutes Virgo. The 'duad' for both the Sun and the Moon is therefore in the sign of Scorpio*. You'll remember from our first lesson that Scorpio has a 'fixed' quality. Now here's a secret. **No matter what phase of the lunar cycle you're in, the 'duad' of the Moon will always have the same quality as the 'duad' of the Sun.** For example, the Moon formed a square aspect (90 degrees) with the Sun on 9/05/00. On that date the Sun was at 13 degrees and 24 minutes Virgo, and the Moon was at 13 degrees and 24 minutes Sagittarius. The 'duad' for the Sun was in the sign of Aquarius, and the 'duad' for the Moon was in the sign of Taurus. Note that both Aquarius and Taurus have 'fixed' qualities!

The 4-phase lunar cycle consists of the New Moon (0 degrees), the 1st Quarter Moon (90 degrees), the Full Moon (180 degrees) and the Last Quarter Moon (90 degrees). Whenever the 'duads' of the Sun and Moon remain in the same 'quality' for at least three consecutive phases, be sure to make a note of it. The 'duads' for the Sun and Moon were in a 'fixed' mode for the New Moon on 8/29, the First Quarter Moon on 9/05, the Full Moon on 9/13 and the Last Quarter Moon on 9/20. Now take a look at

the daily price chart for the NASDAQ 100 cash Index (NDX). You can see how prices moved down during this period, from the 3951.39 close on 8/29 to the 3583.16 close on 9/26 (the last day of the 9/20 Last Quarter Moon). In the next lesson, I'll show you how you can use this information for forecasting future stock prices.

*A quick reference table to determine Duads

Duads							
Aries		Taurus		Gemini		Cancer	
00:00-02:30	Aries	00:00-02:30	Taurus	00:00-02:30	Gemini	00:00-02:30	Cancer
02:30-05:00	Taurus	02:30-05:00	Gemini	02:30-05:00	Cancer	02:30-05:00	Leo
05:00-07:30	Gemini	05:00-07:30	Cancer	05:00-07:30	Leo	05:00-07:30	Virgo
07:30-10:00	Cancer	07:30-10:00	Leo	07:30-10:00	Virgo	07:30-10:00	Libra
10:00-12:30	Leo	10:00-12:30	Virgo	10:00-12:30	Libra	10:00-12:30	Scorpio
12:30-15:00	Virgo	12:30-15:00	Libra	12:30-15:00	Scorpio	12:30-15:00	Sagittarius
15:00-17:30	Libra	15:00-17:30	Scorpio	15:00-17:30	Sagittarius	15:00-17:30	Capricorn
17:30-20:00	Scorpio	17:30-20:00	Sagittarius	17:30-20:00	Capricorn	17:30-20:00	Aquarius
20:00-22:30	Sagittarius	20:00-22:30	Capricorn	20:00-22:30	Aquarius	20:00-22:30	Pisces
22:30-25:00	Capricorn	22:30-25:00	Aquarius	22:30-25:00	Pisces	22:30-25:00	Aries
25:00-27:30	Aquarius	25:00-27:30	Pisces	25:00-27:30	Aries	25:00-27:30	Taurus
27:30-30:00	Pisces	27:30-30:00	Aries	27:30-30:00	Taurus	27:30-30:00	Gemini
Leo		Virgo		Libra		Scorpio	
00:00-02:30	Leo	00:00-02:30	Virgo	00:00-02:30	Libra	00:00-02:30	Scorpio
02:30-05:00	Virgo	02:30-05:00	Libra	02:30-05:00	Scorpio	02:30-05:00	Sagittarius
05:00-07:30	Libra	05:00-07:30	Scorpio	05:00-07:30	Sagittarius	05:00-07:30	Capricorn
07:30-10:00	Scorpio	07:30-10:00	Sagittarius	07:30-10:00	Capricorn	07:30-10:00	Aquarius
10:00-12:30	Sagittarius	10:00-12:30	Capricorn	10:00-12:30	Aquarius	10:00-12:30	Pisces
12:30-15:00	Capricorn	12:30-15:00	Aquarius	12:30-15:00	Pisces	12:30-15:00	Aries
15:00-17:30	Aquarius	15:00-17:30	Pisces	15:00-17:30	Aries	15:00-17:30	Taurus
17:30-20:00	Pisces	17:30-20:00	Aries	17:30-20:00	Taurus	17:30-20:00	Gemini
20:00-22:30	Aries	20:00-22:30	Taurus	20:00-22:30	Gemini	20:00-22:30	Cancer
22:30-25:00	Taurus	22:30-25:00	Gemini	22:30-25:00	Cancer	22:30-25:00	Leo
25:00-27:30	Gemini	25:00-27:30	Cancer	25:00-27:30	Leo	25:00-27:30	Virgo
27:30-30:00	Cancer	27:30-30:00	Leo	27:30-30:00	Virgo	27:30-30:00	Libra
Sagittarius		Capricorn		Aquarius		Pisces	
00:00-02:30	Sagittarius	00:00-02:30	Capricorn	00:00-02:30	Aquarius	00:00-02:30	Pisces
02:30-05:00	Capricorn	02:30-05:00	Aquarius	02:30-05:00	Pisces	02:30-05:00	Aries
05:00-07:30	Aquarius	05:00-07:30	Pisces	05:00-07:30	Aries	05:00-07:30	Taurus
07:30-10:00	Pisces	07:30-10:00	Aries	07:30-10:00	Taurus	07:30-10:00	Gemini
10:00-12:30	Aries	10:00-12:30	Taurus	10:00-12:30	Gemini	10:00-12:30	Cancer
12:30-15:00	Taurus	12:30-15:00	Gemini	12:30-15:00	Cancer	12:30-15:00	Leo
15:00-17:30	Gemini	15:00-17:30	Cancer	15:00-17:30	Leo	15:00-17:30	Virgo
17:30-20:00	Cancer	17:30-20:00	Leo	17:30-20:00	Virgo	17:30-20:00	Libra
20:00-22:30	Leo	20:00-22:30	Virgo	20:00-22:30	Libra	20:00-22:30	Scorpio
22:30-25:00	Virgo	22:30-25:00	Libra	22:30-25:00	Scorpio	22:30-25:00	Sagittarius
25:00-27:30	Libra	25:00-27:30	Scorpio	25:00-27:30	Sagittarius	25:00-27:30	Capricorn
27:30-30:00	Scorpio	27:30-30:00	Sagittarius	27:30-30:00	Capricorn	27:30-30:00	Aquarius



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Lesson 3

The astrological sign is the projector, and the duad shows the daily experiences that aid in the development of that projection. Therefore, the element (fire, earth, air and water) and quality (cardinal, fixed and mutable) of the duad will more accurately reveal actual events. In our last lesson, I focused on the 4-phase lunar cycle. Whenever the duads of the Sun and Moon remain in the same quality (cardinal, fixed or mutable) for at least three consecutive phases, it indicates a bias towards a specific behavioral pattern. For example, the duads of the Sun and Moon were in fixed modes for the New Moon of 8/29, the 1st Quarter Moon of 9/05, the Full Moon of 9/13 and the Last Quarter Moon of 9/20. During that period, the NASDAQ 100 cash index (or NDX) moved lower, from the 3951.39 close on 8/29 to the 3583.16 close on 9/26 (the last day of the 9/20 Last Quarter Moon phase). The price action of the NDX showed that the fixed mode brought out a negative response from the trading public.

The duads of the Sun and Moon shifted to the mutable mode, from the 9/27 New Moon phase to the 10/13 Full Moon phase. The quality then switched back to the fixed mode for the 10/20 Last Quarter Moon phase. Bring up a daily price chart for the cash NASDAQ 100 index (or NDX), and let's see how we can take advantage of the lunar cycle's move back into the fixed mode. Since the prior 'fixed' period reflected a down market environment, we'd expect a similar negative response from the trading public during this 'fixed' period!

The duads of the Sun and Moon only stayed in that fixed mode for the Last Quarter Moon phase of 10/20, which meant your window of opportunity lasted just one week, from 10/20 through 10/26 (the last day of that phase). Now look at the daily price chart for the NDX, and note that prices on 10/20 (the first day of the Last Quarter phase) were in the process of forming a 3-day high. Remember that the NDX went lower during the previous 'fixed' phase, so we'd be looking for a good shorting opportunity in this 'fixed' phase. **If prices are at a 3-day high, you only need a break of the last two days' lows for confirmation of a short.** The NDX broke under the prior two days' lows on 10/24, at 3378.33. The NDX closed on 10/26 (the last day of the phase) at 3168.49. This equates to a 12.4% (on margin) return in just three trading days.

I'll briefly run through one more example of this phenomenon. The duads of the Sun and Moon were in the 'mutable' mode for the 9/27 New Moon, the 10/05 1st Quarter Moon, and the 10/13 Full Moon (three consecutive phases). The NDX went lower during this period, from the 3572.21 close on 9/27 to the 3401.65 close on 10/19 (the last day of the 10/13 Full Moon phase). That was a signal for us to look for another shorting opportunity when the duads of the lunar cycle move back into the 'mutable' mode. In fact, the lunar cycle went back into the mutable mode during the 10/27 New Moon phase, & stayed there until 11/24 (the last day of the 11/18 Last Quarter Moon phase). Now pay attention to this part! The NDX was not making a 3-day high on 10/27, the first day of the mutable mode, so you have to wait until it does. You only want to take your shorting opportunities from a 3-day high in prices. The NDX topped out on 11/06, at 3369.47. Note that the 2-day break of the lows occurred on 11/07, at 3275.06. The NDX proceeded to fall, closing at 2829.49 on 11/24 (the last day of the mutable period). This equates to a 27.2% return (on margin) for 13 trading days.

There won't be a lesson next Wednesday, during Christmas week. The fourth lesson will resume on January 3rd of 2001. At that time, I'll show you how to use the astrological aspects to determine areas of price support and resistance. We'll also explore an arcane method for determining price objectives (or targets).



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Lesson 4

The waxing phase of the cycle (from 0 to 180 degrees) shows the birth and growth of a new idea. That process culminates at 180 degrees, when the new idea (started at 0 degrees) becomes a physical reality. For the next two lessons, I'll examine the use of aspects in determining true support and resistance levels for stocks, but first we need to do a little review on the 3-bar reversal technique.

The 3-bar reversal is not a trading strategy. It's simply a tool for examining the cyclical characteristics of a stock or futures contract. Take a look at the daily price chart for the NASDAQ 100 Index tracking stock (or QQQ). Note the low (of 60 1/2) it made on 11/30/00. The low price of that day was lower than the prior 3 days' lows. Therefore, you can say that it formed a 3-bar low on 11/30. That was immediately followed by a 3-bar upside reversal. This simply means that prices subsequently showed enough strength to break above the prior 3-days' highs. The actual 3-bar upside reversal occurred on 12/05, when QQQ went above 66 3/4. I'll now list the 3-bar highs and lows in the QQQ for the past few months:

3-bar high of 87 3/4 on 10/20/00.

3-bar low of 73 5/8 on 10/26.

3-bar high of 84 1/8 on 11/06.

3-bar low of 68 1/4 on 11/13.

3-bar high of 78 1/16 on 11/15.

3-bar low of 66 1/2 on 11/22.

3-bar high of 72 15/16 on 11/27.

3-bar low of 60 1/2 on 11/30.

3-bar high of 74 3/4 on 12/11.

3-bar low of 54 1/4 on 12/21.

Once you've established these cyclical highs and lows in a stock, you can start the analysis. The first step is to compute the numerical difference between the high and low of each cycle. For example, the QQQ went down a total of 14.12 points from the high on 10/20 to the subsequent low on 10/26. It then went up a total of 10.50 points from the low on 10/26 to the subsequent high on 11/06. Now here's where it gets interesting: the QQQ went down 15.88 points from the high on 11/06 to its subsequent low on 11/13. Prices not only took out the prior low (of 73 5/8), but the

momentum also increased (by going down more than it had on the previous downswing). This is a technical sign of weakness in the stock, and indicates that you should start looking for shorting opportunities in the vicinity of the next 3-bar high. Here's where aspects assume their rightful place in the art of financial astrology. I'll continue with this study in next Wednesday's lesson.



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Lesson 5

The zodiacal circle is divided into twelve equal parts; each part contains 30 degrees of space, making a total of 360 degrees in the circle. The first aspect can be found by dividing 30 by the 360-degree circle. The result of that division is .08. I'll give you a list now of the 11 aspects I use, along with their decimal equivalents:

Aspect #1 $30/360=.08$
Aspect #2 $60/360=.17$
Aspect #3 $90/360=.25$
Aspect #4 $120/360=.33$
Aspect #5 $150/360=.42$
Aspect #6 $180/360=.50$
Aspect #7 $210/360=.58$
Aspect #8 $240/360=.67$
Aspect #9 $270/360=.75$
Aspect #10 $300/360=.83$
Aspect #11 $330/360=.92$

The aspects from #1 to #5 show the waxing phase of the cycle, while the aspects from #7 to #11 represent the waning phase of the cycle. The waxing phase of the cycle (aspects 1 to 5) shows the birth and growth of a new idea. That process culminates at 180 degrees (or aspect #6), when the new idea (started at 0 degrees) becomes a physical reality. Therefore, the 180-degree point takes on a great deal of significance in financial astrology. Aspects # 5, 6 & 7 will thus be the focus of this study. First

let's review the last paragraph of the prior lesson, "Once you've established these cyclical highs and lows in a stock (through the 3-bar reversal technique), you can start the analysis. The first step is to compute the numerical difference between the high and low of each cycle. For example, the QQQ went down a total of 14.12 points from the high on 10/20 to the subsequent low on 10/26. It then went up a total of 10.50 points from the low on 10/26 to the subsequent high on 11/06. Now here's where it gets interesting: the QQQ went down 15.88 points from the high on 11/06 to its subsequent low on 11/13. Prices not only took out the prior low (of 73 5/8), but the momentum also increased (by going down more than it had on the previous downswing).

This is a technical sign of weakness in the stock, and you should start looking for shorting opportunities in the vicinity of the next 3-bar high. Here's where aspects assume their rightful place in the art of financial astrology."

The QQQ went down a total of 15.88 points from its high on 11/06 to the low on 11/13. As previously stated, the stock was giving signs of technical weakness. It had not only taken out its prior 3-bar low of 73 5/8, but the momentum was increasing on the downside (by going down more than it had on its previous downswing). As the stock moves into new 3-bar highs, you can assess the strength of the retracement by checking its aspect flow. 15.88 multiplied by .50 = 7.94. Add that number to the 11/13 low of 68 1/4, and the resulting number is 76 3/16. If you look at the daily price chart of the Qs, you can see that on 11/15 prices broke into new 3-bar highs, and went above 76 3/16. That indicates that the stock has completed its growth and development phase. Remember that .50 (or 180 degrees) is the culmination point of the new idea (or trend) that started at 0 degrees (or the conjunction). As I said earlier, aspects # 5, 6 and 7 will be the focus of this study. The QQQ successfully moved through aspect # 6 by trading higher than 76 3/16. 15.88 multiplied by .58 (which is aspect # 7) results in 9.21. Adding that number to the 11/13 low of 68 1/4 gives you 77.46 (or 77 1/2 if it's rounded up to the nearest sixteenth). Note that the high on 11/15 is 78 1/16, which is higher than aspect # 7's 77 1/2. Does this indicate forthcoming strength in the stock? I've found that unless prices can graduate to the next aspect level (or aspect # 8), you should really look at it as a sign of weakness! 15.88 multiplied by .67 (which is aspect # 8) = 10.64. If you add 10.64 to the 11/13 low of 68 1/4, the resulting number is 78.89 (or 78 15/16 if it's rounded up to the nearest sixteenth). As you can see, the QQQ high of 78 1/16 on 11/15 did not reach this price level. Unless prices can get up to 78 15/16 (aspect # 8), the stock is vulnerable to a correction.

You don't need to wait for a 3-bar downside reversal if the retracement only gets as high as aspect # 7. Instead, short the stock on a 2-bar downside reversal. That means you could have shorted the QQQ on 11/17, at 72 13/16. I'll continue with this analysis in my next lesson. I'll also show you a very impressive track record for the 8 HOLDRS over the last three months. There will be no lesson next week due to travel plans.



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Lesson 6

The 3-bar reversal technique (see Lesson 4) defines the cyclical highs and lows of a stock or futures contract. The aspect flow (see Lesson 5) allows you to assess the true strength of any retracement (or new trend). The bottom line is that prices need to retrace 67% (aspect # 8) or more of the prior move, or you should view the new retracement) as suspect. Try to think of it more in terms of the lunar cycle. The waxing phase of a cycle (from 0 to 180 degrees) shows the birth and growth of a new idea (or trend). This process culminates at 180 degrees (or 50%), when the new trend begins to assume its own identity. However, a trend doesn't reach full maturity until it hits the 8th aspect (or 67%). Therefore, any new trend (or retracement) that falls short of the 8th aspect should be looked upon as a good trading opportunity. I discussed this theory thoroughly in the last two paragraphs of Lesson 5, using the QQQ as an example. You don't need to wait for a 3-bar reversal if the retracement only gets as high as aspect # 7 (or 58%). You can instead take the trade based on a simple 2-bar reversal. For example, the QQQ went down a total of 15.88 points from its high on 11/06/00 to the subsequent low on 11/13. The upward retracement (or new trend) was only able to get as high as the 7th aspect (or 58%). That means you could have shorted the QQQ on 11/17, at 72 13/16 (a 2-bar reversal). Use a tick above the high of the cycle (or 78 1/8) as your stop. That's a risk of 5 5/16 points. Tack that number on the your sell point of 72 13/16, and your price target becomes 67 1/2. Exit either when that target is hit, or on any 2-bar reversal. That's all there is to it. I've compiled a complete 3-month track record for the QQQ, as well as the 8 HOLDRS I follow on a daily basis. Here are the results of that study:

QQQ:

Short 72 13/16 on 11/17. Exit on 11/22, for a profit of 14.6% (utilizing 50% margin).

Short 68 1/8 on 11/28. Exit on 11/29, for a profit of 14.4%.

Short 58 7/8 on 12/29. Exit on 1/02, for a profit of 11.4%.

IIH:

Short 35 7/8 on 1/16. Exit on 1/17, for a profit of 14.6%.

Short 22 1/8 on 12/29. Exit on 1/02, for a profit of 24.8%.

Long 23 1/2 on 1/24. Exit on 1/24, for a profit of 14.8%.

BBH:

Short 160 7/8 on 11/29. Exit on 12/05, for a loss of 7.2%.

Short 146 9/16 on 1/17. Exit on 1/22, for a loss of 4.6%.

Long 149 1/2 on 1/22. Exit on 1/24, for a profit of 10.6%.

BHH:

Short 23.00 on 11/28. Exit on 11/30, for a profit of 34.8%.

Short 17 1/8 on 1/02. Exit on 1/02, for a profit of 31.4%.

BDH:

Short 58 9/16 on 11/16. Exit on 11/17, for a profit of 11.8%.

Short 53 9/16 on 11/28. Exit on 11/29, for a profit of 14.2%.

Short 45 1/8 on 1/02. Exit on 1/02, for a profit of 15.0%.

IAH:

Short 73 7/16 on 11/28. Exit on 11/29, for a profit of 13.2%

Short 57 3/16 on 12/29. Exit on 1/02, for a profit of 14.8%.

HHH:

Long 73 3/16 on 11/01. Exit on 11/06, for a profit of 6.8%.

Long 79 7/8 on 11/08. Exit on 11/08, for a loss of 11.8%.

Short 53 5/16 on 12/14. Exit on 12/18, for a profit of 18.8%.

Short 40 1/8 on 12/27. Exit on 1/02, for a profit of 24.6%.

SWH:

Short 79 1/16 on 12/13. Exit on 12/13, for a profit of 13.2%.

Short 63 9/16 on 12/29. Exit on 1/02, for a profit of 19.4%.

That's a total of 22 trades during the past 3-months. There were 19 winners and only 3 losers (86% winners)! The average losing trade was 7.9%, while the average winning trade was more than double that, at 17.0%!! I call this indicator "The 8th Way". We'll start tracking it on the site next week.



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Lesson 7

I use the '3-day Solar Time Window' to help in identifying important short-term highs and lows in stocks. In financial astrology, the Sun represents events over which we have conscious control. The outer planets (Uranus, Neptune and Pluto) are invisible to the naked eye; thus representing events over which we have no control. The relationship between these two forces is signified by their angular separation (also known as aspects). I've found that significant short-term trend reversals tend to occur when these two forces are in relationship. If you refer back to Lesson # 5 of this course, you'll see a list of the original 11 aspects I use. However, the 3-day solar time window adds an additional 5 aspects.

If you divide the 360-degree circle by 8, the resulting number is 45. Thus, the 8-phase cycle in financial astrology is as follows:

- 45 degrees is called the waxing semisquare.
- 90 degrees is called the waxing square.
- 135 degrees is called the waxing sesquiquadrate.
- 180 degrees is called the opposition.
- 225 degrees is called the waning sesquiquadrate.
- 270 degrees is called the waning square.
- 315 degrees is called the waning semisquare.
- 0 degrees is called the conjunction.

Now add the following 5 aspects to that original list of 11: 45 degrees (waxing semisquare), 135 degrees (waxing sesquiquadrate), 225 degrees (waning sesquiquadrate), 315 degrees (waning semisquare) and the conjunction (or 0 degree aspect). That gives you a total of 16 aspects that you need to utilize when calculating the 3-day solar time window. The 2nd day of the time window is always the day of aspect exactitude. The 1st day is the day before the aspect becomes exact, and the 3rd day is the day after the aspect became exact. Only market days are used. I'll show you a list now of the 3-day solar time windows for the last couple of months:

- 11/02, 11/03, 11/06.
- 11/08, 11/09, 11/10.
- 11/24, 11/27, 11/28.

12/01, 12/04, 12/05.
12/08, 12/11, 12/12.
12/22, 12/26, 12/27.
1/03, 1/04, 1/05.
1/08, 1/09, 1/10.
1/18, 1/19, 1/22.
1/25, 1/26, 1/29.
2/02, 2/05, 2/06.

Now take a look at the daily price chart of the NASDAQ 100 Index tracking stock (or QQQ). Note that the QQQ made a 3-bar intraday high of 84.12 on 11/06, which was during the 11/02-06 solar time window. The next day (11/07) prices dropped under the prior 3 days' lows (81.25). That's called a 3-bar downside reversal, and it confirmed the 11/06 high of 84.12 as an important short-term resistance level. I'll continue with this study in my next lesson. I realize that this lesson has been very technical in nature, but I urge you to stick with it. I often refer to the 3-day solar time windows in my nightly commentaries, and I do this for good reason. These windows provide valuable insight for identifying true trend reversals.



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Lesson 8

The 3-day Solar Time Window is an important indicator for identifying true short-term trend reversals. What exactly makes one price high (or low) more significant than another? This is the theme we'll be exploring for the next two lessons.

The 3-bar reversal technique is an excellent tool for identifying the cyclical characteristics of a stock or futures contract. I explained this at length in Lesson 4 of this series. A confirmed high (or low) can only occur when there has been a legitimate reversal off a 3-bar high or low. For example, take a look at the daily price chart of the NASDAQ 100 Index tracking stock (or QQQ). Note that the stock made a 3-bar intraday high of 84.12 on 11/06/00. The next day (11/07) saw prices drop below the prior three days' lows (or 81.25). That's called a 3-bar downside reversal, and it 'confirmed' the 11/06 high of 84.12 as an important short-term resistance level.

That 11/06 high of 84.12 occurred during a 3-day Solar Time Window (11/02, 11/03 & 11/06). If you refer back to the last lesson, I listed the dates for the most recent windows. Whenever a 'confirmed' 3-bar high or low occurs during the Solar Time Window, you need to give that point added weight! A subsequent break above that 84.12 high would indicate a bullish trend reversal. Also, since 11/06 was a 'confirmed' high, you must now look backward for the prior 'confirmed' 3-bar low. That occurred on 10/26, at 73.62. If prices subsequently break below 73.62, it would be a bearish trend confirmation.

If you only use the Solar Time Window highs and lows for your trend analysis, you'll get a much clearer picture of the true short-term trend of a stock. Let's continue with our example of the QQQ. It broke below 73.62 on 11/09, and thus gave a bearish trend confirmation. Note that the 'confirmed' 3-bar low of 11/13, and the 'confirmed' 3-bar high of 11/15 did not relate to a Solar Time Window date. Therefore, they are not given any importance. In fact, it really isn't until 11/27 that there is a time window match to a 'confirmed' 3-bar high.

The 11/27 high of 72.93 occurred during a Solar Time Window, which meant that a subsequent break above that high would constitute a bullish trend reversal. A break below the 11/22 low of 66.50 (the prior 'confirmed' 3-bar low) would constitute

another bearish trend confirmation. Note that on 12/08 the QQQ reversed its short-term trend to bullish by moving above 72.93. However, 12/08-12 was also a Solar Time Window period. In the next lesson, I'll show you how to handle this situation.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 9

In financial astrology the Sun symbolizes the known, whereas the outer planets (Uranus, Neptune and Pluto) suggest that which is unknown. The relationship between these forces is signified by their angular separation (also known as aspects). Whenever the known (Sun) and the unknown (outer planets) come together in relationship (angular aspect to each other), there is a possibility of change in the air. I refer to these periods as "Solar Time Windows". Since these windows reflect a potential for enhanced consciousness (the merging of conscious and unconscious behavior), any changes in that behavior (or trend) should be viewed as significant.

I showed you how to apply the 3-bar reversal technique to these time windows in the last lesson. I used the NASDAQ 100 Index tracking stock (or QQQ) as my example for this exercise. It has been an exceptionally difficult stock to trade during the past three months, giving numerous false signals (on both sides). However, it encompasses all of the possibilities for this trading strategy, so it's a good teaching device. Here's the track record for the past three months:

11/09 Short QQQ 73.61 +.67
12/08 Buy QQQ 72.94 -2.02
12/13 Exit QQQ 70.92
12/14 Short QQQ 66.49 +4.27
1/03 Exit QQQ 62.22
1/03 Buy QQQ 62.47 +1.77
2/01 Exit QQQ 64.24
2/02 Short QQQ 62.99 +4.38
2/13 Exit QQQ 58.61
2/13 Short QQQ 56.24 open

That's a profit of 9.07 points on the closed positions (four winners and one loser), which represents a 24.6% return on investment during the past three months (using the standard margin). Since you already know how to track the straight buy and sell signals (see last lesson), it's time now to learn the subtleties of this system.

We left off the last lesson with a buy signal on 12/08, at 72.94. However, the 12/08-12 period was also a "Solar Time Window". Whenever an intraday 3-bar high (or low) occurs during a window, you need to pay attention. The QQQ formed an intraday 3-bar high of 74.75 on 12/11. If it could now take out the low price of the prior two days (not three, but two), you should exit the position. Note that the QQQ did take out the low price of the prior two days on 12/13, when it moved below 70.93. It's important to remember that this is not a sell signal, simply an exit from the existing long. Use a tick above the candle body high of those two days as your buy stop. Take a look at the daily price chart for the QQQ. You can clearly see the 74.75 3-bar intraday high that was made on 12/11, as well as the 2-bar reversal (at 70.92) off that time window high. The candle body is simply the opening and closing prices. The highest open or close value during those two days (12/11 & 12/12) was 74.31 (on 12/11). Therefore, you'd place your buy stop at 74.32.

As it turned out, prices never did get back up to 74.32. Instead, the QQQ went down, and moved below the 11/22 low of 66.50. This triggered the next sell signal on 12/14 (at 66.49). That's all there is to it! I use this method to determine the short-term price trend (or behavior) of a particular stock. For example, the QQQ went into a bearish short-term mode when it broke below 63.00 on 2/02. Once you've determined the short-term trend of a stock, you can use intraday chart analysis to pinpoint low risk buy (or sell) signals. We'll explore that area in the next lesson.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 10

The 3-day Solar Time Window defines the time frames that have real significance. About half of the trading days fit into these time periods, so it's not a particularly rare occurrence. However, it's important to remember that you should only pay attention to the extreme intraday 3-bar highs and lows that occur within these windows. For example, the NDX 100 tracking stock (or QQQ) made a 3-bar intraday high of 60.49 on 2/15. But 2/15 was not a Solar Time Window date; therefore, a break of that high (after the requisite 3-bar downside reversal) would 'not' constitute a real buy signal (merely an exit from an existing short position). However, take note of the QQQ's 3-bar intraday low of 63.00 on 1/26. 1/26 was a 3-day Solar Time Window date; therefore, a break of that low (after the requisite 3-bar upside reversal) would indicate a true short position. I've spoken at length about this time window (Lessons 7, 8 & 9), because I use it to determine the probable near-term price direction of a stock or futures contract. I'll amplify on this theme now by showing you how to use intraday price analysis to pinpoint low-risk buy (or sell) signals.

The QQQ went into a sell mode when it went below its 1/26 time window low of 63.00 (on 2/02). Note how it made the requisite 3-bar upside reversal first, topping out at 68.00 on 1/31. At the present time (2/21), you would exit that short position if prices should move above 60.49 (the 3-bar high of 2/15). Do not think of the 3-day Solar Time Window as a trading system in itself; rather, it will provide you with a good indication of the probable price direction over the near-term. Since the QQQ went into a sell bias as of 2/02, you should use the subsequent intraday price action to establish a low-risk short in the stock. I'll provide you with some basic theories for intraday price analysis in this lesson. Then, In Lesson 11, I'll introduce you to the "Lunar Trend Confirmation" model, a powerful intraday combination with the 3-day Solar Time Window.

After QQQ went into a sell mode on 2/02, you should start monitoring the 60-minute price chart. Using the 3-bar reversal technique (as defined in Lesson 4), look for a buy signal.

Bring up a 60-minute price chart of the Qs now, and start monitoring it from 2/02. You can see that the first 3-bar intraday low (60.12) occurred on 2/05, at 1:30 pm.

The subsequent 3-bar upside reversal took prices to a high of 63.12 on 2/06, at 11:30 am. The QQQ then proceeded to move below that 2/05 low, and the selling pressure continued...no buy signal forthcoming.

Now switch over to a 30-minute price chart of the Qs, and start monitoring it from that 2/02 sell date. Note how it made a 3-bar intraday high of 61.90, at 10:30 am on 2/05. After the requisite 3-bar downside reversal took prices to a new low of 60.12, at 1:30 pm that same day, the QQQ then proceeded to move above that 61.90 high. That occurred on the opening bar of the following day (2/06), and it constituted an intraday buy signal for the Qs. That is exactly what you want to see! As soon as the buy signal was activated, you should have put in an order to short the QQQ when it moved below the 60.12 low, using the 61.90 high as the resistance (or stop) level for the trade. By utilizing intraday price analysis, you can see how you've lowered your risk on the trade. Take a close look at the 30-minute price chart of the QQQ for that time period, so that you'll understand the rationale behind the short. Remember to always take your cue from the 3-day Solar Time Window. Since it went into a sell mode on 2/02, you would only be looking for sell signals with your intraday price analysis.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 11

The "Solar Trend Indicator" is updated nightly on the e-mail version of the site. It's based on the 3-day Solar Time Window, and gives a good indication of a stock's probable near-term price direction. For example, the S&P 500 tracking stock (or SPY) went into a sell mode back on 2/09, at 132.11. That's not a signal to short the SPY, but it does indicate that you should be working the market from the short side only. The "Lunar Trend Confirmation" model uses intraday price analysis in order to locate good low-risk trading opportunities. It always trades in the same direction as the "Solar Trend Indicator".

The "Solar Trend Indicator" tracks the aspect flow between the transiting Sun and the transiting outer planets. This gives rise to a 3-day time period that signifies important turning points in a stock. The "Lunar Trend Confirmation" model tracks the aspect flow between the transiting Moon and the transiting outer planets. This leads to important intraday turning points. I'll analyze the last couple of week's price action in the SPY now to illustrate the effects of the "Lunar Trend Confirmation" model.

The transiting Moon formed a conjunction aspect (0 degrees) with transiting Pluto on February 16th, at 10:14 a.m. I use a two-hour orb of influence for all intraday lunar aspects. That's because the Moon moves by approximately one degree every two hours. That means the important time frame for 2/16 was from the opening (at 9:30 a.m.) to 12:14 p.m. During that period the SPY formed a 3-bar low of 130.50 at the 9:30 (15-minute) bar, and a 3-bar high of 131.29 at the 10:15 (15-minute) bar.

Since the "Solar Trend Indicator" was in a sell mode at that time, you would only be interested in shorting the SPY. If the SPY moves below 130.50 anytime after 12:14 p.m. on 2/16, you should establish a short position, and place a protective buy stop at a tick above the 131.29 high. The SPY did go below 130.50 at the 1:15 (15-minute) bar, so you were short from 130.49.

The next time the transiting Moon formed an aspect with an outer planet during market hours was on February 21st. The transiting Moon formed a sextile aspect (60 degrees) with transiting Pluto at 11:37 a.m. That means the important time

frame for 2/21 was from 9:37 a.m. to 1:37 p.m. Note that the SPY formed a 3-bar low of 127.31 at the 11:15 (15-minute) price bar, and a 3-bar high of 128.84 at the 12:15 (15-minute) bar. That means you could now lower the protective buy stop on your short position to a tick above 128.84. The SPY moved below the 127.31 low at the 2:00 p.m. (15-minute) price bar, and the selling pressure continued in the stock.

Let's pause for a moment and review some of the rules for this trade. The first thing is to determine the important time frame for the day. If the transiting Moon is aspecting a transiting outer planet during market hours, note the time when that aspect is exact. Then add and subtract two hours from that time. For example, the Moon's sextile with Pluto on 2/21 occurred at 11:37 a.m. That made the important time frame for that day from 9:37 a.m. to 1:37 p.m. Once you've established the day's important time frame, you can only establish a position in the stock after that time frame. That means you could only have taken a trade in the SPY after 1:37 p.m. on 2/21. The "Lunar Trend Confirmation" model is a powerful ally with the "Solar Trend Indicator", and gives excellent low-risk trades. I'll continue with this study in my next lesson.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 12

The "Solar Trend Indicator" gives a good indication of a stock's probable near-term price direction. For example, the SPY (S&P 500 tracking stock) went into a sell mode with this indicator back on 2/09, at 132.11. Although this was not a signal to short the stock, it did indicate that you should only work it from the short side. The "Lunar Trend Confirmation" model is a perfect partner for the "Solar Trend Indicator". It uses intraday price and time window analysis, in order to locate good low-risk trading opportunities. It's important to remember that the "Lunar Trend Confirmation" model always trades in the same direction as the "Solar Trend Indicator".

I started tracking the 'Lunar Trend Confirmation' model (from February 16th) in my last lesson. A sell signal was issued on 2/16 with this model, at 130.49, using a protective buy stop at 131.30. Note how little risk was involved in the trade (about 6/10ths of 1%). That's the real value of the lunar model.

The next time the transiting Moon formed an aspect with a transiting outer planet (Uranus, Neptune & Pluto) during market hours was on 2/21. As noted in the prior lesson, this allowed you to lower the protective buy stop on the short to 128.85. That effectively guaranteed you a profit on the trade, while keeping you in for the potentially big down move.

The next time the transiting Moon formed an aspect with a transiting outer planet during market hours was on 2/26. The Moon trined Pluto at 10:44 a.m. EST. That set the important time frame for the day between the open (at 9:30) until 12:44 p.m. A 3-bar 'confirmed' high of 125.87 was established at the 9:30 (15-minute) price bar, and this was followed by a 'confirmed' 3-bar low of 124.50 at the 10:45 (15-minute) bar. Remember that you can only act on these points after the day's important time frame has passed. The SPY proceeded to move above 125.87 at the 1:15 (15-minute) price bar on the same day. That was your signal to exit the short that had been initially established at 130.49 on 2/16. This gave you a profit of 4.61 points for the trade. Not bad considering your risk was only .81 points. The real key to successful trading is in keeping your risk low, while allowing the potential for large rewards. Remember that you would not go long on that move above 125.87, because the

"Lunar Trend Confirmation" model only takes trades in the same direction as the "Solar Trend Indicator".

In the next lesson, I'll show you how to use our intraday time windows. These are published daily on the e-mail version of the site.



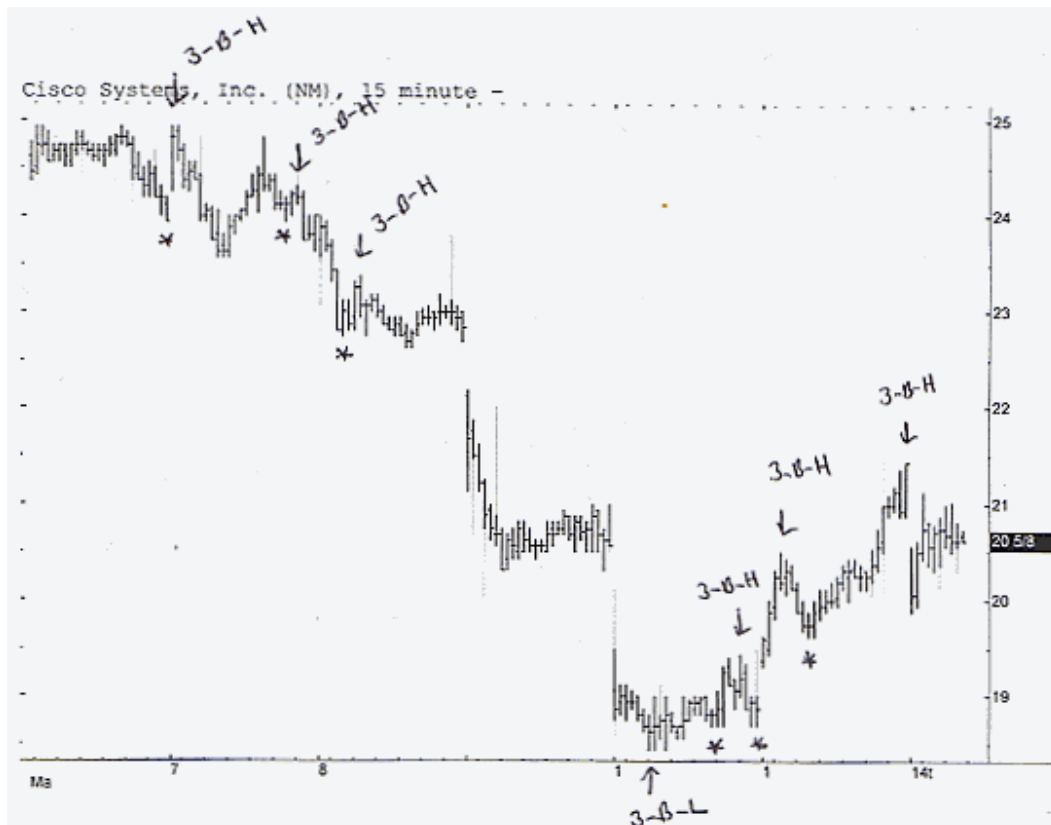
SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 13

The intraday lunar and location time windows are published daily on the 'Astrikos Data Sheet'. They work especially well when used in conjunction with a longer-term trading strategy, like the 'Solar Trend Indicator'. I'm going to focus on the location time windows in this lesson, and I'll use Cisco Systems (CSCO) as my example stock.

Cisco Systems (CSCO) is a part of the Internet Architecture HOLDRS (Amex:IAH). This group went into a sell mode (on the 'Solar Trend Indicator') on 2/02, when it went below 65.18. That was an indication that you should only work Cisco from the short side. Now let's take a look at the 15-minute bar chart for CSCO...



I've marked all of the 3-bar highs and lows over the past week that coincided with a location time window. Remember that if the 15-minute bar chart is at 9:30, that means the range of prices is between 9:30 and 9:44. The 9:45 (15-minute) bar is the 9:45 to 9:59 price range. For example, there was an intraday location time window on 3/07, at 9:33 a.m. Note that Cisco was making a 3-bar high (closing or intraday) at that 9:30 bar. Of course, you won't have confirmation of that high until there is an actual 3-bar downside reversal.

Look at the areas of the chart where I've put either an up or a down arrow. Those are the legitimate 3-bar highs and lows over the past week in the Cisco 15-minute bar chart. Cisco has been in a sell mode since 2/02, so we're only interested in shorting opportunities. Wherever you see a down arrow indicates a legitimate 3-bar high. If you're looking for an opportunity to short this market, always look to the prior 3-bar low! I've put a star in those areas of the chart. Here's why it's so important to use intraday chart analysis. You can greatly lower your risk factor. As I said earlier, there was a 3-bar high at the 9:30 (15-minute) bar on 3/07. After this high was confirmed, you could look back for the prior 3-bar low. That occurred on 3/06, at the 3:45 (15-minute) bar, at 23 15/16. Remember I've put a star by that point on the Cisco chart. That means you could place an order to short Cisco at a tick below 23 15/16. Your resistance level, of course, will be the 3-bar high of 24 15/16.

If you look at the Cisco chart I've marked, you'll see that you can steadily lower your stop point when utilizing this technique. Let's say you shorted Cisco at $23 \frac{7}{8}$ (a tick below $23 \frac{15}{16}$). Your initial stop would have been placed at a tick above $24 \frac{15}{16}$. Now look at the next down arrow (and prior star). Every time the starred area is taken out, you can lower your stop to the down arrow (or latest 3-bar high). The only exception to this rule occurs if a marked 3-bar high (or down arrow) is taken out to the upside. You can clearly see on the Cisco chart that you would have remained short until 3/12, when the 3-bar high of $19 \frac{7}{16}$ was broken. Therefore, you would have exited the position at $19 \frac{1}{2}$ (a tick above the $19 \frac{7}{16}$ 3-bar high). That gave you a profit on the trade of 36% (on margin).

This is an important component of my trading strategy, and there are some additional considerations. I'll continue with this study in my next lesson.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 14

The 'location' time windows are published daily on the 'Astrikos Data Sheet'. In last week's lesson, I illustrated an effective method of implementing these windows for your short-term stock trading. Using Cisco Systems (CSCO) as the example, you saw how you could have shorted the stock on 3/07, at $23 \frac{7}{8}$, placing a protective buy stop at 25.00. This short stayed in effect until the opening (15-minute) bar on 3/13, when you would have covered the position at $19 \frac{1}{2}$. That gave you a profit on the trade of 36.7% (utilizing the standard 50% stock margin). Today, we'll continue with the Cisco analysis.

Cisco Systems is a component of the Internet Architecture HOLDERS (Amex:IAH). This sector went into a sell mode (on the Solar Trend Indicator, also found on the Data Sheet) on 2/02, which indicates that you should only work Cisco from the short side. After marking all of the 'confirmed' 3-bar highs on the 15-minute price chart that coincide with a location time window, you're ready to begin trading.

The next 'confirmed' 3-bar high in Cisco came on 03/15, at $21 \frac{3}{16}$. The closing 3-bar high occurred in the 12:15 (15-minute) chart, and this coincided with the 12:23 location time window. The prior low of $20 \frac{5}{8}$ was made at the 11:15 bar. Cisco moved below $20 \frac{5}{8}$ at 2:45 that same day. Therefore, you would have been short Cisco at $20 \frac{9}{16}$, with the protective buy stop placed just above the $21 \frac{3}{16}$ high.

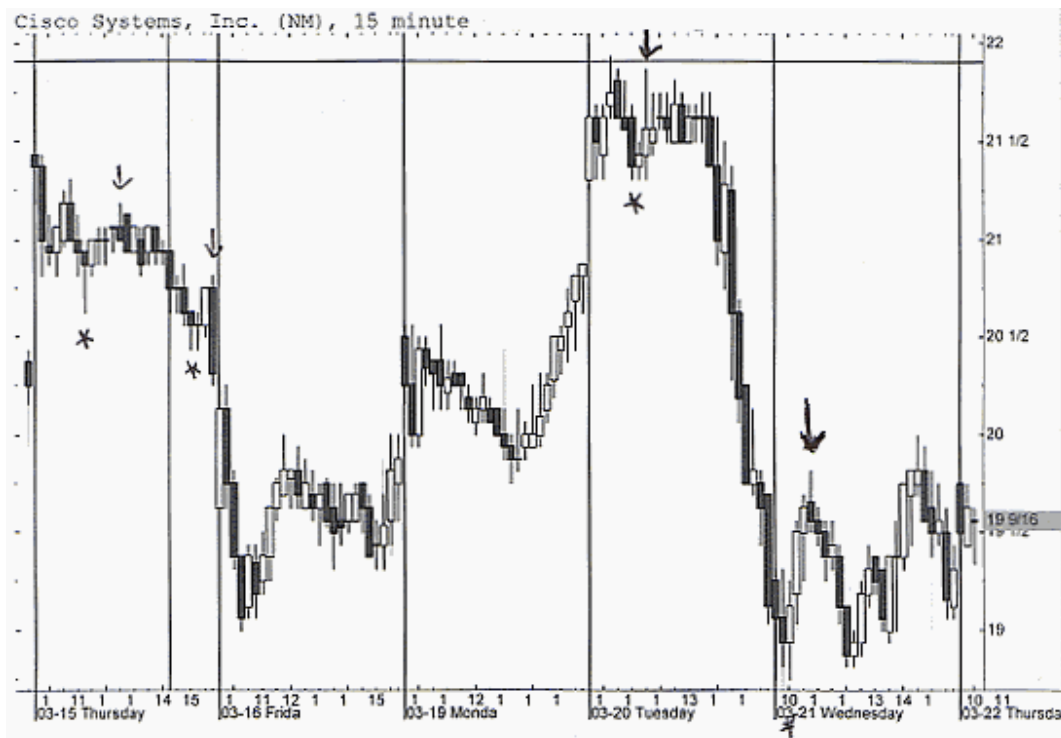
The next 'confirmed' 3-bar high in Cisco came at 3:45 that same day, at $20 \frac{13}{16}$. This high coincided with the 3:51 location time window. At this point, you could lower the protective buy stop on the trade to $20 \frac{7}{8}$ (a tick above the $20 \frac{13}{16}$ high). That price was subsequently hit on 3/19, at the 3:45 (15-minute) bar. That gave us a loss of $\frac{5}{16}$ (or 3.0%) for the trade.

The next 'confirmed' 3-bar high in Cisco came on 3/20, at $21 \frac{7}{8}$. The closing 3-bar high occurred at the 12:00 (15-minute) bar, and this coincided with the 12:03 location time window. The prior low could be found at the 11:00 (15-minute) bar, at $21 \frac{5}{16}$. Cisco moved below that point at 2:00 that same day. Therefore, you would have shorted Cisco again, at $21 \frac{1}{4}$ (a tick below the $21 \frac{5}{16}$ low), placing the protective buy stop at $21 \frac{15}{16}$ (a tick above the $21 \frac{7}{8}$ high).

The next 'confirmed' 3-bar high in Cisco came on 3/21, at 19 13/16. The closing 3-bar high occurred at the 10:30 (15-minute) bar, and this coincided with the 10:32 location time window. That high was subsequently taken out at the 2:30 (15-minute) bar that same day. This gave us a profit of 13% for the trade.

***Remember the definition of a 'confirmed' 3-bar high. That means that a 3-bar high was made (either closing or intraday), immediately followed by a 3-bar downside reversal.**

If you had utilized this trading strategy in Cisco Systems for the past two weeks, you would have had 3 completed trades. There were two winners, one for 36.7% and the other for 13%. There was also one loser of 3%. I've included a 15-minute chart of Cisco, and marked the 'confirmed' 3-bar highs with a down arrow. I've also placed a star at the prior 3-bar lows...





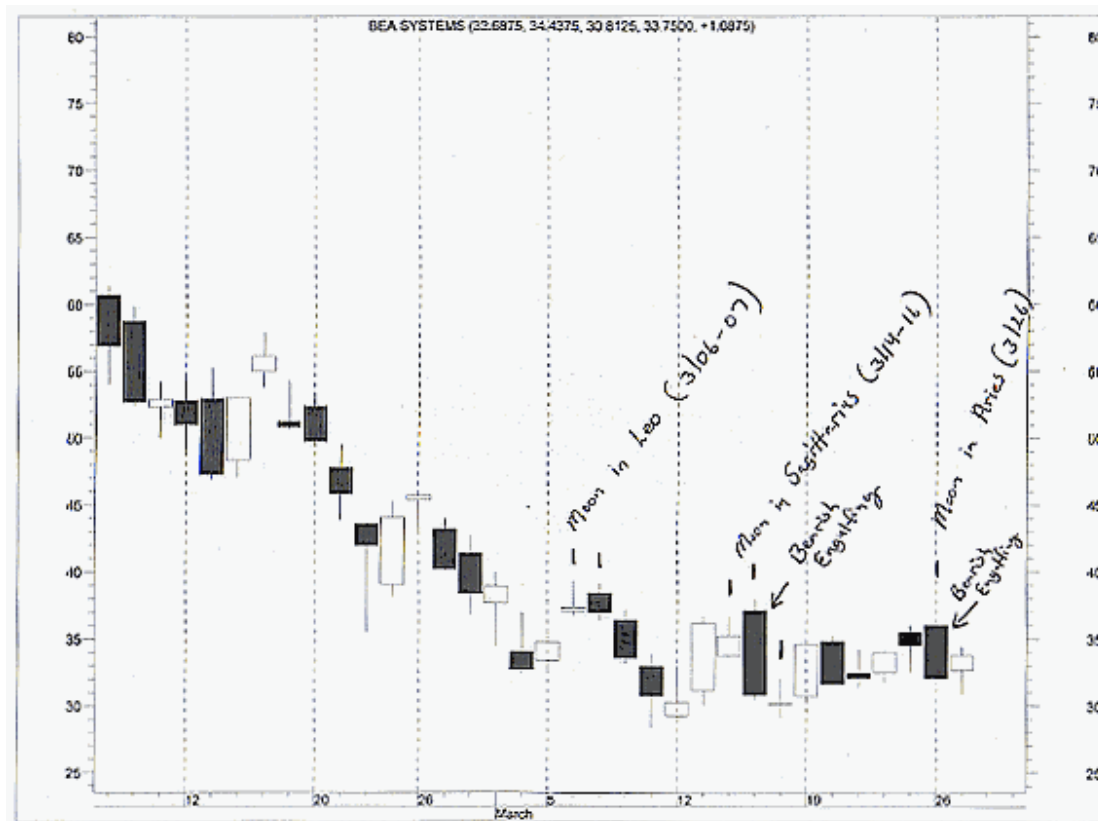
SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 15

The signs of the zodiac are divided into four groups called triplicities. They represent the four elements of fire, earth, air and water. The fire signs are composed of Aries, Leo and Sagittarius. The earth signs are composed of Taurus, Virgo and Capricorn. The air signs are composed of Gemini, Libra and Aquarius, and the water signs are composed of Cancer, Scorpio and Pisces. Signs of the same element are separated by an angle of 120 degrees. This is commonly known as the trine aspect, and it is thought to exert a positive influence. For example, Aries and Leo are both fire signs, and they are 120 degrees apart in the natural zodiac. It's a good idea to look for correlations in the elements. Keeping this in mind, I've devised an interesting scan, in order to take advantage of the elemental correlation. I call this strategy, the "Elemental Connection".

I use the bullish (or bearish) engulfing candlestick pattern as the trigger for this study. The bearish engulfing pattern occurs in an uptrend. The key characteristic of this pattern is that a long body completely engulfs the previous session's smaller body. Take a look at the BEA Systems (BEAS) price chart on 3/15 of this year.



Note that the stock made a 3-bar intraday high (meaning that it traded higher than the prior three sessions) on 3/15, as it opened above the prior day's body. (The body defines the open and close of a trading session. A 'white' body appears when the stock closes higher than the open. A 'dark' body occurs when the stock closes lower than the open). Since BEAS made a 3-bar intraday high on 3/15, it indicated that the stock was in a short-term uptrend. And remember that a bearish engulfing candlestick pattern can only occur during an uptrend.

BEAS opened at $33 \frac{3}{4}$ on 3/14 (the prior day), and it closed at $35 \frac{5}{16}$. BEAS opened at $37 \frac{1}{8}$ on 3/15, which was higher than the prior day's 'body'. As soon as the stock went below $33 \frac{3}{4}$ on 3/15, it qualified as a valid bearish engulfing candlestick pattern.

Now let's examine how the elements work in this study. The transiting Moon was passing through the sign of Sagittarius (a fire sign) on 3/15, the day of the bearish engulfing candlestick pattern in BEA Systems. Refer now to the time period of the prior fire sign (Leo), and you'll see that the Moon was passing through Leo on 3/06 & 3/07. However, BEA Systems didn't make a 3-bar high during that time frame. Therefore, the bearish engulfing candlestick pattern of 3/15 is not deemed significant. Since signs of the same element tend to work well together, I'm looking

for an elemental correlation that supports that viewpoint. If the 3/06 & 3/07 (Leo) period had related to a 3-bar high in BEAS, then the bearish engulfing pattern of 3/15 would have taken on a much greater significance. That's because both time frames would have related to highs, and since the 3/15 high was lower in value than the 3/06-07 high, the bearish engulfing pattern would have provided the necessary trigger for the (short) trade.

Aries is the fire sign that follows Sagittarius in the natural zodiac. The Moon transited through the sign of Aries on 3/26. Take a look at the BEAS price chart now, and you'll see that the stock made a 3-bar intraday high on 3/26, as it opened above the prior day's body. Note also how this high was lower in value than the 3/15 (Sagittarius) high. The 3/23 (prior day) open for BEA Systems was 35 1/2, and it closed that day at 34 7/16. BEAS opened at 36 on 3/26, and when it subsequently dropped below 34 7/16 that same day, it qualified as a valid bearish engulfing candlestick pattern! You could have shorted BEA Systems at 34 3/8 (a tick below the prior day's body), and placed a protective buy stop at 36 1/16 (a tick above the signal day's opening value). Note how this trade met all of the requirements of the 'elemental connection'. I'll get into price objectives for this trade, as well as introducing you to the 'qualities connection' in my next lesson.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 16

BEA Systems (BEAS) gave an "elemental connection" sell signal on March 26th of this year, at 34 3/8. The prior lesson (#15) gave you the basic rules for this trading strategy. However, I'd like to make a correction from that lesson. I wrote in Lesson 15, "You could have shorted BEA Systems at 34 3/8 (a tick below the prior day's body), and placed the protective buy stop at 36 1/16 (a tick above the signal day's opening value)." Actually, the protective buy stop should have been placed at 36 5/16 (a tick above the signal day's high price). Therefore, the risk on the position was 1 & 15/16 (or 5.6%). Once you've defined your risk on the trade, you can establish the price objective.

Take a look at the daily price chart for BEA Systems, and you'll notice that the intraday high on March 26th was $36 \frac{1}{4}$. Use the difference between that number (plus one tick) and the entry price ($34 \frac{3}{8}$), in order to determine the price objective for the trade. The difference between those two numbers is $1 \frac{15}{16}$ ($36.3125 - 34.375 = 1.9375$). Now double that number ($1.9375 * 2 = 3.875$), and subtract the result from the entry price ($34.375 - 3.875 = 30.50$). That gave you a price objective of $30 \frac{1}{2}$ for the BEAS short. You can see that the risk-to-reward ratio on the trade was exactly 2 to 1. This trade will always have a 2 to 1 risk-to-reward ratio. Incidentally, BEAS met that price objective two days later, on March 28th.

Every astrological sign is composed of both an element and a quality. So far, we've been focusing on the "elemental connections" in a stock, but now I want to introduce you to the "quality connection". I'll use the NDX 100 tracking stock (or QQQ) as my example stock for this exercise. The QQQ made a 3-bar high of 69.12 on January 24th of this year. The subsequent 3-bar downside reversal took prices down to 63.00, before the Qs rallied to make another 3-bar high on 1/31, at 68.00. The transiting Moon was passing through the sign of Aquarius on January 24th. Aquarius is in the air element, and it has a fixed quality. The qualities are broken down into 3 groupings: 1) cardinal signs (Aries, Cancer, Libra & Capricorn), 2) fixed signs (Taurus, Leo, Scorpio and Aquarius), and 3) mutable signs (Gemini, Virgo, Sagittarius and Pisces).

Since the QQQ made a confirmed 3-bar high during the lunar transit of a fixed sign (Aquarius), you should check the Qs prices when the Moon next transits through a fixed sign. The Moon was passing through Taurus (which is the next fixed sign after Aquarius) on 1/31. Note that the QQQ made another 3-bar high on that date, which was lower in value than the 1/24 high. The Qs also formed a bearish engulfing candlestick pattern on that same day! The intraday high on 1/31 was 68.00, and the bearish engulfing candlestick pattern was confirmed when prices slipped down to 66.79. That meant the risk on the trade was 1.22 points (or 1.8%). Take the difference between those two numbers ($68.01 - 66.79 = 1.22$), and double the resulting number ($1.22 * 2 = 2.44$). Now subtract that number (2.44) from the entry price of 66.79 ($66.79 - 2.44 = 64.35$). That gave you a price objective of 64.35 for the QQQ short. The Qs met that price objective on the same day (1/31). The "quality connection" trade follows the exact same procedure as the "elemental connection" trade. The only difference is in the highlighted dates.

The 'elemental and quality connection' trades are a particularly attractive trading strategy, since the risk-to-reward ratio is fixed at 2 to 1.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 17

The Fibonacci series is formed by starting with 0+1, and then adding the latest two numbers to get the next one: $0+1=1$, $1+1=2$, $1+2=3$, $2+3=5$, $3+5=8$, $5+8=13$, $8+13=21$, etc. If you take the ratio of two successive numbers in Fibonacci's series (1,1,2,3,5,8,13,21...), and then divide each by the number before it, you'll find the following series of numbers: $1/1=1$, $2/1=2$, $3/2=1.5$, $5/3=1.666$, $8/5=1.6$, $13/8=1.625$, $21/13=1.615$, $34/21=1.619$, $55/34=1.618$. The ratio settles down to a particular value, which is called the 'Golden Ratio' or the 'Golden Number'. It has a value of 1.618.

The 'Golden Ratio' can be effectively used to highlight significant turning points in a stock. I'll use the Internet HOLDRS (or Amex:HHH) as my example for this exercise. Bring up a daily price chart of HHH, and make a note of all the 'confirmed' 3-bar highs and lows for this year. Remember that a 'confirmed' 3-bar high or low is always followed immediately by a 3-bar reversal. For your convenience, I've marked all of those points in the accompanying chart.



The next step is to count the number of bars between the two extreme points. For example, HHH had an intraday 'confirmed' 3-bar low of 35.00 on 1/03 of this year. Note how that low was immediately followed by a 3-bar upside reversal. It doesn't make a 'confirmed' 3-bar high until January 24th. Once that 3-bar high has been 'confirmed', you should count the number of price bars between the two extreme points (which is 14). If you multiply 14 by the 'Golden Number' (or 1.618), the resulting number is 22.65. Refer to the right hand side of the chart, and you'll see the math has been done on the numbers 2 through 14.

The midpoint of the number 14 is 7. If the number of bars between the two extreme points is an odd number, always round it up to the next even number. For example, if the two extremes were separated by 13 price bars, you would round it up to 14, in order to determine the midpoint date. Now take a look at the HHH price chart, and find the midpoint between the 3-bar low on 1/03 and the 3-bar high on 1/24. The answer is 1/12. Once you have this midpoint date, you can project possible future turning points.

You project future turning points by counting the number of price bars between two extreme points, and then multiplying that number by the 'Golden Number'. We've already determined that the two extremes (1/03 and 1/24) were separated by 14 price bars, which led to 22.65 (14 multiplied by 1.618=22.65). Starting at the midpoint date (1/12), count 22 to 23 bars into the future. That takes you to 2/14 (the 22nd bar from 1/12) and 2/15 (the 23rd bar from 1/12).

Look at the actual prices for HHH, and you'll see that the stock was still in a downtrend on 2/14. That means that the last 'confirmed' point related to a 3-bar high (on 1/24). In order for a stock (that is in a downtrend) to switch into a short-term uptrend, it must first make a 3-bar upside reversal. I'll continue with this study in my next lesson.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 18

The "Golden Ratio" highlights significant turning points in a stock. In the last lesson, I showed you how to project those points, using the Internet HOLDERS (Amex:HHH) as my example for the exercise. By the end of that lesson, we had projected two dates (2/14/01 and 2/15/01) as possible turning points. Indeed, 2/15 did relate to a 'confirmed' 3-bar high for the stock, but that still wasn't enough to classify it as a "Golden Ratio" turning point. That's because you always need at least two projections to converge on a specific date. Today, I'll illustrate this concept.

I've posted a daily price chart of Diamond Offshore Drilling (DO), and marked the key points on the chart. There was a high of 45.65 on 3/09, and a low of 40.30 on 3/16. That's a difference of 5 trading days, with the midpoint of the downmove falling on 3/13. If you don't recall the basics for this strategy, please refer to the prior lesson. From that midpoint you should project ahead 8 to 9 trading days ($5 \times 1.618 = 8.09$). That will take you to the dates of 3/23 and 3/26.



The 40.30 low on 3/16 was confirmed on 3/20, when DO made a 3-bar upside reversal, which took prices to an intraday high of 41.98. In turn, that high was confirmed on 3/22, when Diamond Offshore made a 3-bar downside reversal, which sent prices down to a low of 39.70. This choppy period continued as DO confirmed that 39.70 low by making a 3-bar upside reversal, which saw prices hitting a high of 42.18 on 3/26. Look for stocks to chop around like this when it's time for a major move.

There was a difference of 2 trading days between the low of 3/16 (40.30) and the high of 3/20 (41.98), with the midpoint of that upmove falling on 3/19. From that midpoint you should project ahead 3 to 4 trading days ($2 \times 1.618 = 3.24$). That will take you to the dates of 3/22 and 3/23.

There was a difference of 2 trading days between the high of 3/20 (41.98) and the low of 3/22 (39.70), with the midpoint of that downmove falling on 3/21. From that midpoint you should project ahead 3 to 4 trading days ($2 \times 1.618 = 3.24$). That will take you to the dates of 3/26 and 3/27.

If you review these projected points, you'll see that two dates had more than one projection: 3/23 and 3/26. As you can see, 3/23 did not relate to a 'confirmed' 3-bar high or low, but 3/26 did correspond to a 'confirmed' 3-bar high! Therefore, 3/26 can be classified as a true "Golden Ratio" turning point. You should short this stock on the first 3-bar downside reversal (which was at 40.09).

When your work reveals a "Golden Ratio" turning point, you can then establish a price objective for the move. Note that the initial price move saw prices coming off a high of 45.65 on 3/09, and moving to a low of 40.30 on 3/16. Those two price levels are the key to establishing the price target for the move. During the choppy period that followed that initial downmove, prices never closed lower than 40.30 or higher than 45.65. The difference in value between the 3/09 high of 45.65 and the 3/16 low of 40.30 is 5.35 points.

Since the double projection date of 3/26 corresponded to a 3-bar high, you would simply subtract 5.35 points from the high of that date. The high on 3/26 was 42.18, so the price objective for the subsequent downmove was 36.83 ($42.18 - 5.35 = 36.83$). Take a look at the daily price chart for Diamond Offshore now. Prices went down to a low of 36.60 (on 4/03), before moving up again. That gave you a profit of more than 16% (based on the standard stock margin) in just 4 trading days.

Cyclical (or astrological) analysis is always trying to find the true turning points. In my next lesson, I'll introduce you to the concept of Lunar Birthdays.



SECRETS OF FINANCIAL ASTROLOGY

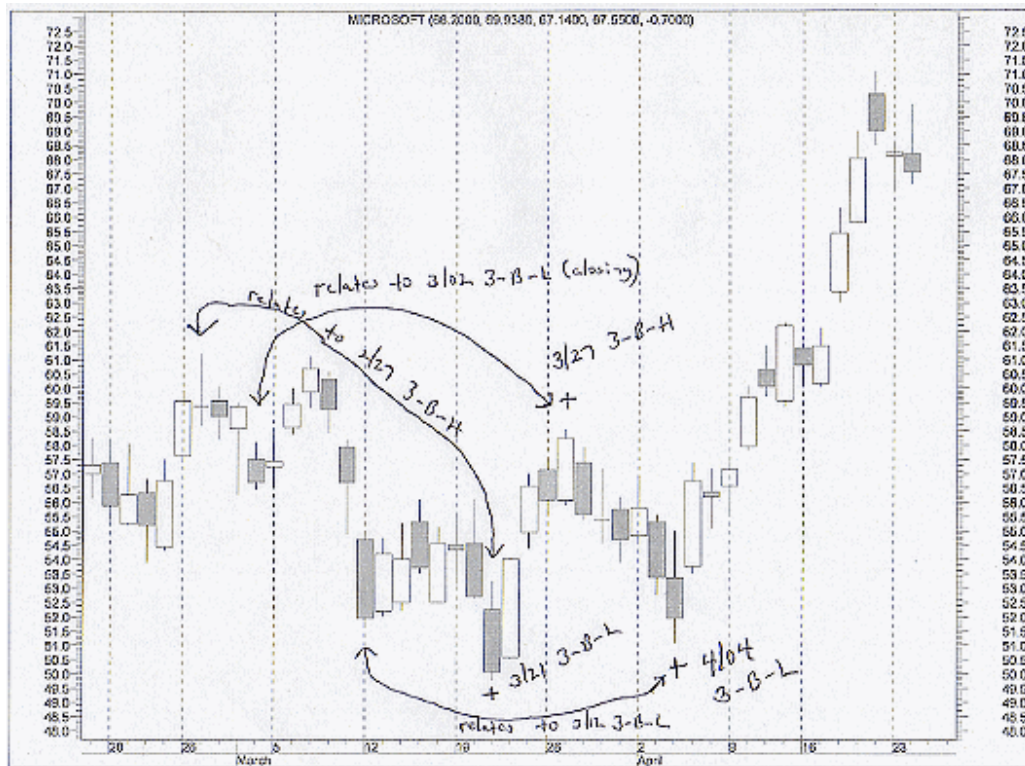
By Kenneth Min

Lesson 19

The Chinese Lunar New Year is the longest chronological record in history, dating back to 2600 BC, when the Emperor Huang Ti introduced the first cycle of the zodiac. Like the western calendar, the Chinese lunar calendar is an annual cycle, with the start of the lunar year being based on the cycles of the moon. This is why the beginning of the lunar year can occur anywhere between late January and the middle of February. All of us have a lunar birthday as well as a solar one. For example, if you were born on April 25th of this year, your lunar birthday would actually be on April 3rd. I've found an interesting tendency of turning points can show up in stocks when comparing these solar & lunar days.

Take a look at the daily price chart of Microsoft (MSFT) below. The most recent 'confirmed' 3-bar low in that stock occurred on April 4th of this year. That date

corresponded to March 11th in the Chinese lunar calendar. March 11th occurred on a weekend, but note that Microsoft formed a 'confirmed' 3-bar low (both closing and intraday) on the following Monday, March 12th.



Working backwards, you can see that Microsoft made a 'confirmed' 3-bar high on March 27th. Remember that a 'confirmed' 3-bar high is simply a 3-bar high immediately followed by a 3-bar downside reversal. March 27th (the solar date) corresponded to March 3rd in the Chinese lunar calendar. March 3rd fell on a weekend, but you can see that Microsoft formed a 'confirmed' 3-bar closing low on the prior Friday (March 2nd). When comparing the solar and lunar dates, it doesn't really matter whether the stock is making a high or low on those dates. We're looking for turning points, and those turning points are best expressed as 3-bar (upside or downside) reversals.

Once again working backwards, you can see that Microsoft made a 'confirmed' 3-bar low on March 21st of this year. That date corresponded to February 27th in the Chinese lunar calendar. Note that Microsoft made a 'confirmed' 3-bar intraday high on February 27th.

This turning point correlation between solar and lunar dates can be a great timing tool for the short-term trader. For your convenience, I'll show you 3-months (the last two, as well as the next month) of this data.

Solar Date: Lunar Date:

2/25	2/03
2/26	2/04
2/27	2/05
2/28	2/06
3/01	2/07
3/02	2/08
3/03	2/09
3/04	2/10
3/05	2/11
3/06	2/12
3/07	2/13
3/08	2/14
3/09	2/15
3/10	2/16
3/11	2/17
3/12	2/18
3/13	2/19
3/14	2/20
3/15	2/21
3/16	2/22
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3/19	2/25
3/20	2/26
3/21	2/27
3/22	2/28
3/23	2/29
3/24	2/30
3/25	3/01
3/26	3/02
3/27	3/03
3/28	3/04
3/29	3/05
3/30	3/06
3/31	3/07
4/01	3/08
4/02	3/09
4/03	3/10
4/04	3/11
4/05	3/12
4/06	3/13
4/07	3/14
4/08	3/15
4/09	3/16

**Note that the lunar calendar always
has 29 or 30 days in a month**

4/10	3/17
4/11	3/18
4/12	3/19
4/13	3/20
4/14	3/21
4/15	3/22
4/16	3/23
4/17	3/24
4/18	3/25
4/19	3/26
4/20	3/27
4/21	3/28
4/22	3/29
4/23	4/01
4/24	4/02
4/25	4/03
4/26	4/04
4/27	4/05
4/28	4/06
4/29	4/07
4/30	4/08
5/01	4/09
5/02	4/10
5/03	4/11
5/04	4/12
5/05	4/13
5/06	4/14
5/07	4/15
5/08	4/16
5/09	4/17
5/10	4/18
5/11	4/19
5/12	4/20
5/13	4/21
5/14	4/22
5/15	4/23
5/16	4/24
5/17	4/25
5/18	4/26
5/19	4/27
5/20	4/28
5/21	4/29
5/22	4/30



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 20

Neptune is the outermost of the four gas giants: Jupiter, Saturn, Uranus and Neptune. It (more than any other planet) tends to exert a long-term influence on stock prices, especially when it corresponds to turning points. I use the transiting Sun's aspects to transiting Neptune as a means of tracking Neptune's influence on stock prices.

The aspects I utilize for this analysis are based on the 30-degree division of the 360-degree circle. For your convenience, I'll list the dates for these Sun-Neptune aspects over the past several months:

07/27/00 Sun opposition (180 degrees) Neptune
08/27/00 Sun quincunx (210 degrees) Neptune
09/26/00 Sun trine (240 degrees) Neptune
10/26/00 Sun square (270 degrees) Neptune
11/26/00 Sun sextile (300 degrees) Neptune
12/26/00 Sun semi-sextile (330 degrees) Neptune
01/26/01 Sun conjunct (0 degrees) Neptune
02/25/01 Sun semi-sextile (30 degrees) Neptune
03/28/01 Sun sextile (60 degrees) Neptune
04/28/01 Sun square (90 degrees) Neptune
05/29/01 Sun trine (120 degrees) Neptune

Intel (INTC) is the most heavily-weighted stock in the Semiconductor HOLDRS (Amex:SMH). For this trade to be triggered, INTC and SMH must both make 'confirmed' 3-bar highs or lows within just one trading day of a Sun-Neptune aspect. A 3-bar high or low is only 'confirmed' if it is immediately followed by a 3-bar reversal. For example, both Intel and the Semiconductor HOLDRS formed 3-bar highs during the 8/27/00 Sun-Neptune aspect. They proceeded to 'confirm' those highs by following through with 3-bar downside reversals. That reversal point would also act as the sell signal for Intel. The 3-bar reversal point for Intel was 72.75, but prices gapped lower on 9/05/00, and opened at 71.06. Therefore, you would have been short Intel at 71.06 (on 9/05), placing the protective buy stop just above the high of that cycle (or 75.82). That's a risk of 4.76 points (75.82-71.06=4.76).

If this trade is triggered, it tends to exert a long-term influence on the value of the stock. Since the risk on the 9/05 short position was 4.76 points, you could triple that number to establish the long-term price objective on the trade. That made the downside objective 56.78 ($4.76 \times 3 = 14.28$; $71.06 - 14.28 = 56.78$). Intel hit that objective on 9/15/00, for a 20% profit on the investment.

Intel and the Semiconductor HOLDERS both made 3-bar lows within just one trading day of the 10/26/00 Sun-Neptune aspect. They proceeded to 'confirm' those lows by following through with 3-bar upside reversals. That reversal point would also act as the buy signal for Intel. The 3-bar reversal point for Intel was 45.01, but prices gapped higher on 10/27/00, and opened at 45.87. Therefore, you would have been long Intel at 45.87, placing the protective sell stop just below the low of the cycle (or 41.11). That's a risk of 4.76 points ($45.87 - 41.11 = 4.76$). The upside price objective on the trade was 60.15 ($4.76 \times 3 = 14.28$; $45.87 + 14.28 = 60.15$). However, you would have been stopped out on 11/09/00, for a loss of 10% on the investment.

Intel and the Semiconductor HOLDERS both made 3-bar highs within just one trading day of the 11/26/00 Sun-Neptune aspect. They proceeded to 'confirm' those highs by following through with 3-bar downside reversals. The reversal point for Intel was 41.99, which occurred on 11/29/00. Therefore, you would have been short Intel at 41.99, placing the protective buy stop at 46.76 (just above the high of that cycle). That's a risk of 4.77 points ($46.76 - 41.99 = 4.77$). The downside price objective for the trade was 27.68 ($4.77 \times 3 = 14.31$; $41.99 - 14.31 = 27.68$). Intel hit that objective on 3/01/01, for a profit of 34% on the investment!

Of course you'd have to exercise a sound money management strategy for this trade, but the risk-to-reward ratio of 3 to 1 makes this a particularly attractive long-term investment vehicle.



SECRETS OF FINANCIAL ASTROLOGY

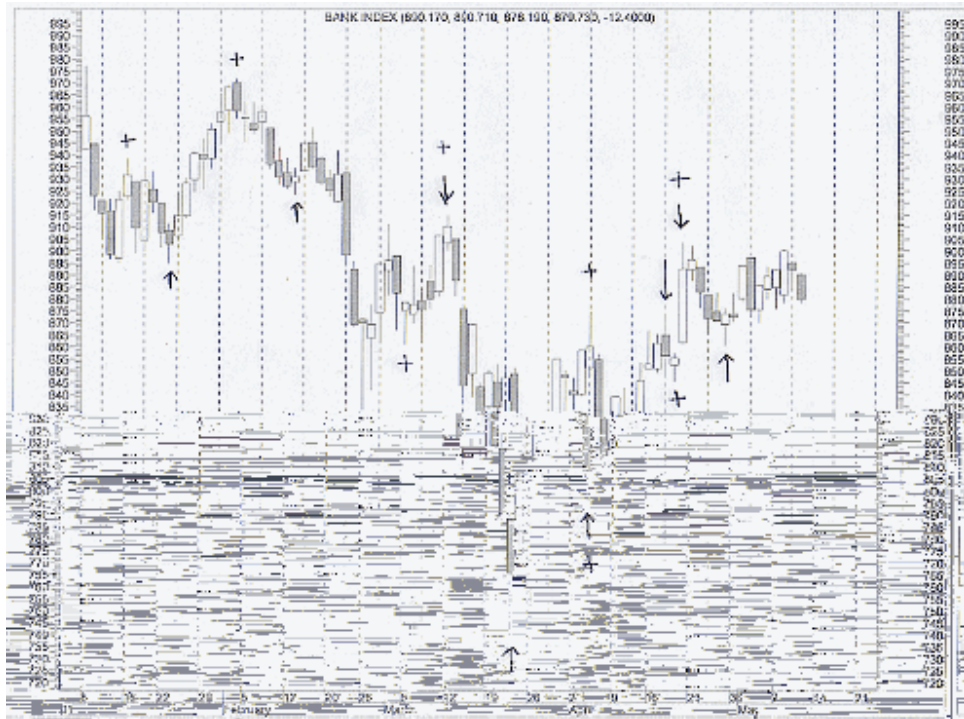
By Kenneth Min

Lesson 21

Qualities show the way a sign's energy flows. In other words, they describe how the sign will act. The cardinal signs (Aries, Cancer, Libra & Capricorn) correspond to action in the here and now. The fixed signs (Taurus, Leo, Scorpio and Aquarius) are determined to carry out what the cardinal signs start, and are very future oriented. The mutable signs (Gemini, Virgo, Sagittarius and Pisces) are mental in nature, and signify change (or transformation).

The Moon passes through the entire zodiac each month, giving you the opportunity to observe how a stock responds to each of the three qualities. Since the mutable signs are mental, they not only symbolize change, but are causal in nature as well. It's the thoughts and ideas of the mutable signs that cause the cardinal signs to act. Therefore, it's a good idea to monitor any changes that do take place (in a stock) when the Moon transits through a mutable sign. For your convenience, here's a list of the lunar transits through mutable signs (during market hours) for this year:

**1/12/01 Moon in Virgo
1/19/01 Moon in Sagittarius
1/26/01 Moon in Pisces
2/02/01 Moon in Gemini
2/09/01 Moon in Virgo
2/15-16 Moon in Sagittarius
2/23/01 Moon in Pisces
3/02/01 Moon in Gemini
3/08-09 Moon in Virgo
3/14-16 Moon in Sagittarius
3/22-23 Moon in Pisces
3/29-30 Moon in Gemini
4/04-06 Moon in Virgo
4/11-12 Moon in Sagittarius
4/18-20 Moon in Pisces
4/25-27 Moon in Gemini
5/02-03 Moon in Virgo
5/08-10 Moon in Sagittarius**



I've marked the daily price chart (with an up or down arrow) of the Philadelphia Bank Index with the dates that corresponded to actual trend changes. The definition of a trend change is simply that a stock makes a 3-bar high or low (closing or intraday) during the mutable period, and that it's immediately followed by a 3-bar reversal of trend. For example, BKX made an intraday low of 894.75 on 1/19, when the Moon was transiting through the sign of Sagittarius (see list above). This was immediately followed by a 3-bar upside reversal. If you've marked a low in the mutable cycle (such as the one on 1/19), the buy point is determined by the prior 3-bar high. I've marked the accompanying BKX chart with + signs to indicate the prior 3-bar highs and lows. Remember to always look back from the arrow dates to find the corresponding 3-bar highs and lows (+ signs). The prior 3-bar high for the 1/19 BKX low occurred on 1/11, at 938.65. However, a break above that price is not your buy point! The actual buy signal for the mutable strategy is always determined through candlestick analysis.

The thick part of the candlestick line is called the body. It represents the range between the day's opening and closing prices. When the body is black or filled in, it means the close of the session was lower than the open. If the body is white or empty, it means the close was higher than the open. The thin lines above and below the body are called shadows. These shadows represent the day's price extremes. Look at the BKX chart, and you can see that the actual intraday low (894.75) on 1/19 is represented by the thin line below the body. But we're only interested in the highs and lows of the body for this particular trading method. I'll complete this study on the 'mutable factor' in the next lesson.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 22

I marked the daily price chart of the Philadelphia Bank Index (BKX) with the dates that corresponded to actual trend changes in the previous lesson. The definition of a trend change is simply that the BKX make a 3-bar high or low (closing or intraday) during the mutable period, and that it's immediately followed by a 3-bar reversal of trend. Those trend change dates were marked by up or down arrows (see previous lesson for chart). Remember to always look back in time from those dates to find the prior 3-bar highs or lows. I marked those dates with + signs. For example, the prior 3-bar high for the 1/19/01 BKX low occurred on 1/11, at 938.65.

However, a break of that high is not your buy point! The actual buy (or sell) signals for the 'mutable factor' is always determined through candlestick analysis.

The thick part of the candlestick line is called the body. It represents the range between the day's opening and closing prices. We're only interested in the highs and lows of the body for this particular trading strategy. Let's get back to that 1/19 low in the BKX. The prior confirmed 3-bar high occurred on 1/11, at 938.65 (intraday). However, the body high on that date was only 931.67 (the closing price). Therefore, you could place a buy stop order at a tick above that price for your buy signal. That means you'd be buying the BKX at 931.68. Now check the body low that was made at the cycle low. That was 902.75 (the close) on 1/19. Therefore, you could place the protective sell stop at a tick below that point (or 902.74).

Here's how to determine the price objective for the trade. Take the point difference between the entry price and the protective stop price, and add the resulting number to the entry price. The entry price was 931.68, and the stop price was 902.74, which is a difference of 28.94 points ($931.68 - 902.74 = 28.94$). Now add 28.94 to the entry price of 931.68, and you have the price target for the trade ($931.68 + 28.94 = 960.62$). Note that BKX hit the entry price of 931.68 on 1/24, and achieved the price target of 960.62 on 1/29 (3 trading days later). That brings up the last rule for this system: if the price target is not hit within 5 trading days, simply close out the trade. Utilizing the standard 50% stock margin, this 3-day trade would have yielded a profit of 6.20%.

Now that you understand the mechanics of the system, I'll simply list the subsequent trades. There was a short trade triggered on 3/12/01, at 873.59, with the protective

buy stop placed at 910.42. That yielded a profit of 8.40% for the 2-day trade. The next trade was a buy on 4/11 at 859.89, with the protective sell stop placed at 808.25. The price target was not hit during the 5-trading day deadline, so you would have exited at the close on the 5th trading day (or 4/19). This 5-day trade yielded a profit of 8.40%. The last trade was a buy on 4/30, at 896.32, with the protective sell stop placed at 869.29. The price target was not hit during the 5-trading day deadline, so you would have exited at the close on the 5th trading day (or 5/07). This 5-day trade resulted in a minor loss of 9/10ths of 1.0%.

I've illustrated various trading cycles over these past 22 lessons. In subsequent lessons, I'll show you how to combine these cycles to create even better trading strategies.



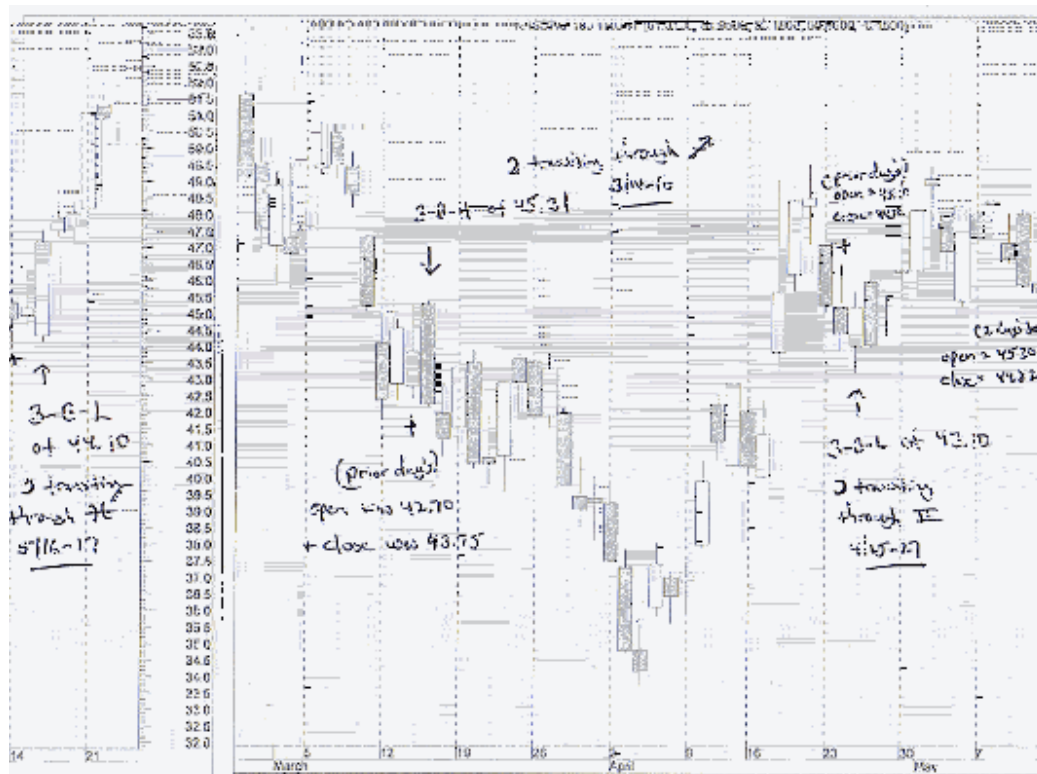
SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

Lesson 23

I talked about the mutable factor in the last two lessons. The mutable signs (Gemini, Virgo, Sagittarius and Pisces) cause the cardinal signs (Cancer, Libra, Capricorn and Aries) to act, and the fixed signs (Leo, Scorpio, Aquarius and Taurus) have the determination to follow through on the actions of the cardinal signs. Trend changes (in stocks) that occur during the lunar transits of the mutable signs should always be given greater emphasis. This is due to the causal nature of the mutable signs. Short-term trading defines a trend change as a 3-bar high (or low) in prices, immediately followed by a 3-bar reversal. However, it's not always necessary to wait for that 3-bar reversal. Through the use of candlestick analysis, you can enter the trade before the actual reversal takes place. We'll explore this theme today, using the NDX 100 tracking stock (QQQ) as the trading example.

The thick part of the candlestick line is called the body. It represents the range between the day's opening and closing prices. When the body is black or filled in, it means that the close of the session was lower than the open. If the body is white or empty, it means that the close was higher than the open. The thin lines above and below the body are called shadows. These shadows represent the day's price extremes. The engulfing pattern consists of two bodies of opposite color. The second day's body completely engulfs the prior day's body. The shadows are not considered in this pattern.



If you look at the accompanying price chart, you'll see that I marked the QQQ 3-bar high of March 15th. The Moon was passing (during actual trading hours in New York) through the sign of Sagittarius (a mutable sign) from March 14th to March 16th. The QQQ made an intraday 3-bar high of 45.31 on 3/15, and then formed a bearish engulfing candlestick pattern. The prior day (3/14) had an opening price of 42.70 and a closing price of 43.75, forming a white body. As soon as prices dropped a tick under 42.70 on 3/15, the bearish engulfing pattern was in effect, and you should have been short the stock. The protective buy stop could be placed at a tick above the intraday high of 45.31, giving you a risk factor of 2.63 points for the trade ($45.32 - 42.69 = 2.63$).

Take profits on half of the position at 40.06 ($42.69 - 2.63 = 40.06$). That objective was reached on March 21st. Then double the risk factor (or 2.63 points), in order to determine the price target for the remaining half of the trade. That equates to 37.43 ($2.63 \times 2 = 5.26$; $42.69 - 5.26 = 37.43$). That price objective was hit on April 2nd.

I won't bother to detail the next two examples on the QQQ chart. However, I will give you the numbers so that you can check your own calculations. 1) There was a buy on 4/25 at 45.11, with the protective sell stop placed at 43.09. You would have taken 1/2 profits at 47.13 on 4/30, and the remaining half would have been covered at 49.15 on 5/02. 2) There was a buy on 5/16 at 45.31 (note the skipped day, in order to trade the two bodies of opposite color), with the protective sell stop placed at 44.09. You could have taken 1/2 profit on 5/16 at 46.53, and the remaining half would have been covered on 5/17, at 47.75.

There will be no lesson next Wednesday (5/30) due to travel plans. The lessons will resume on the following Wednesday, June 6th, when we'll explore the 4-phase lunar cycle in depth.



SECRETS OF FINANCIAL ASTROLOGY

By Kenneth Min

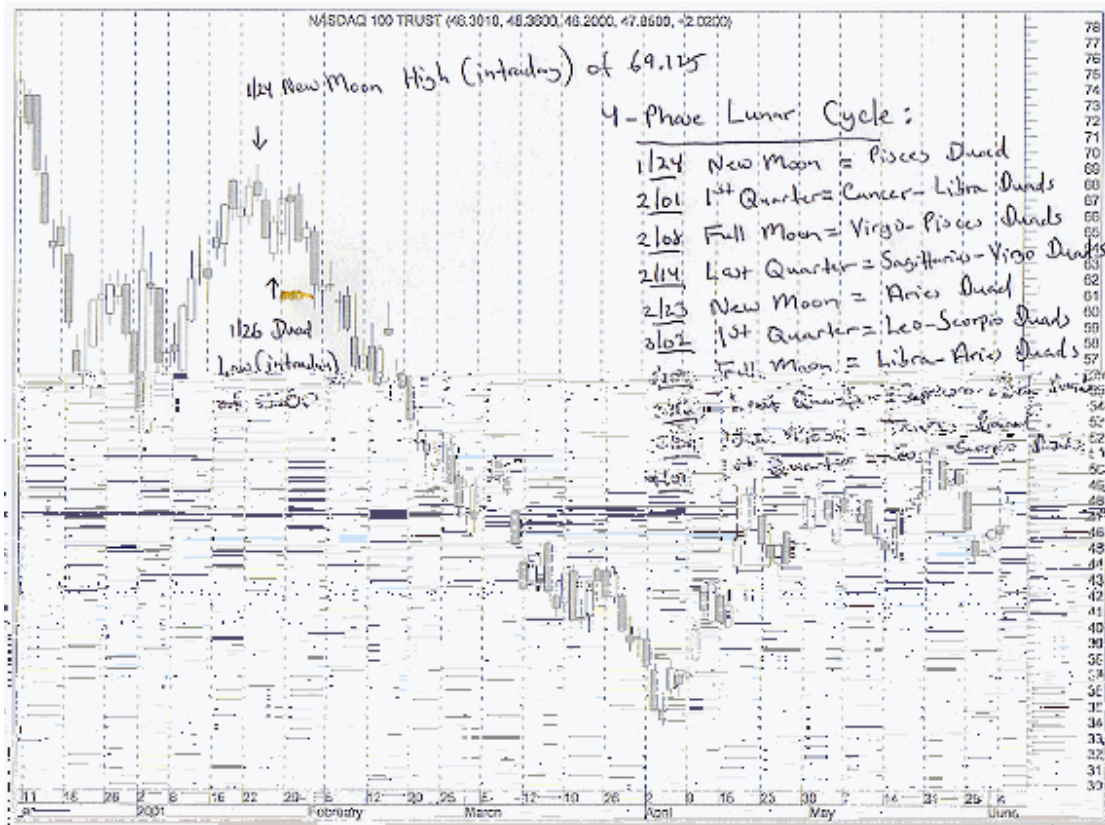
Lesson 24

The Sun and Moon always travel counterclockwise around the chart circle through the signs of the zodiac. The Moon travels faster than the Sun, so in about 28 days it will go from New Moon (conjunct the Sun) all the way around the chart and return again to the Sun. It can never be more than 180 degrees from the Sun. It reaches this point exactly half-way around the chart, and this is called the Full Moon. When it is going through the first half of the cycle toward the Full Moon, it is called waxing. When it is going from Full Moon back toward the Sun, it is called waning. During the entire cycle from conjunction to conjunction, the Moon goes through 4 major phases with the Sun: New (0 degrees), First Quarter (90 degrees), Full (180 degrees) and Last Quarter (270 degrees). For the next couple of lessons, we'll be conducting a detailed analysis of this 4-phase lunar cycle, and its influence on stock prices.

Think of the astrological sign as the projector and the decanate as the receiver. Each sign is divided into three equal parts of 10 degrees each (called decanates). The duad, the 2 ½ degree divisions of the decanate, shows the daily experiences that will help in the development of the sign's projection. Therefore, we can conclude that the duads of the 4-phase lunar cycle are a highly significant aspect of this cycle. Let's take a look now at the 4-phase lunar cycle, in conjunction with the price activity of two of the major averages (SPY and QQQ).

The Moon formed a conjunction aspect (0 degrees) with the Sun on January 24th of this year. The Sun and Moon were at 4 degrees, 36 minutes and 51 seconds of Aquarius at the time of this conjunction, which corresponded to a duad in the sign of Pisces. Two conclusions can be drawn from this information: 1) January 24th (the actual date of the phase) is a potential turn date and 2) the date (or dates) when the transiting Moon is in Pisces (the sign of the duad) is a potential turn date. Now take a look at the daily price chart for the NDX 100 tracking stock (QQQ). Prices made an intraday 3-bar high of 69.125 on 1/24, the date of the conjunction.

I would accept either a 3-bar intraday high or a 3-bar closing high as valid (the same is true for the lows). The Qs then proceeded to 'confirm' that high by making an immediate 3-bar downside reversal. Once a high (or low) is 'confirmed', it becomes a major short-term resistance (or support) level. Let's go over this one more time, just to be sure you understand the rules. The QQQ made a major short-term high on 1/24. That's because 1/24 was the actual date of the phase (New Moon), and prices 'confirmed' that high by making an immediate 3-bar downside reversal. Once a phase or duad date is 'confirmed' as a major short-term high, it's an open invitation to go long the stock if that point should be subsequently broken! Don't forget the duad point. The Moon transited through the sign of Pisces (the duad of the 1/24 New Moon) on 1/26. Only use those lunar transits that occur during actual market hours (9:30 am to 4:15 pm; New York time). You can see that the QQQ made an intraday 3-bar low of 63.00 on 1/26 (the day of the duad), and that this low was 'confirmed' by an immediate 3-bar upside reversal. Now you have two key points: 1) a major short-term high of 69.125 and 2) a major short-term low of 63.00. The Qs will be a buy above 69.125 and a short under 63.00. I urge you to go over this lesson before the next one begins. The and the results are very good. I'll continue with this study next week.





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Lesson 25

There are two potential turn dates associated with the 4-phase lunar cycle: 1) the actual day on which the phase becomes exact, and 2) the date (or dates) when the transiting Moon is in the signs of the duads. The New Moon has only one duad, as the Sun and Moon are conjunct (0 degrees). However, the other three phases each contain two duads (one for the Sun and one for the Moon). For example, February 1st of this year was the date of the 1st Quarter phase. The Sun was positioned at 12 degrees and 46 minutes of Aquarius at the time the phase became exact, and the Moon was at 12 degrees and 46 minutes of Taurus. Therefore, the duad of the Sun was in the sign of Cancer, and the duad of the Moon was located in Libra. I've included a table below, which shows how to convert any sign placement to its proper duad...

Duads

Aries		Taurus		Gemini		Cancer	
00:00-02:30	Aries	00:00-02:30	Taurus	00:00-02:30	Gemini	00:00-02:30	Cancer
02:30-05:00	Taurus	02:30-05:00	Gemini	02:30-05:00	Cancer	02:30-05:00	Leo
05:00-07:30	Gemini	05:00-07:30	Cancer	05:00-07:30	Leo	05:00-07:30	Virgo
07:30-10:00	Cancer	07:30-10:00	Leo	07:30-10:00	Virgo	07:30-10:00	Libra
10:00-12:30	Leo	10:00-12:30	Virgo	10:00-12:30	Libra	10:00-12:30	Scorpio
12:30-15:00	Virgo	12:30-15:00	Libra	12:30-15:00	Scorpio	12:30-15:00	Sagittarius
15:00-17:30	Libra	15:00-17:30	Scorpio	15:00-17:30	Sagittarius	15:00-17:30	Capricorn
17:30-20:00	Scorpio	17:30-20:00	Sagittarius	17:30-20:00	Capricorn	17:30-20:00	Aquarius
20:00-22:30	Sagittarius	20:00-22:30	Capricorn	20:00-22:30	Aquarius	20:00-22:30	Pisces
22:30-25:00	Capricorn	22:30-25:00	Aquarius	22:30-25:00	Pisces	22:30-25:00	Aries
25:00-27:30	Aquarius	25:00-27:30	Pisces	25:00-27:30	Aries	25:00-27:30	Taurus
27:30-30:00	Pisces	27:30-30:00	Aries	27:30-30:00	Taurus	27:30-30:00	Gemini
Leo		Virgo		Libra		Scorpio	
00:00-02:30	Leo	00:00-02:30	Virgo	00:00-02:30	Libra	00:00-02:30	Scorpio
02:30-05:00	Virgo	02:30-05:00	Libra	02:30-05:00	Scorpio	02:30-05:00	Sagittarius
05:00-07:30	Libra	05:00-07:30	Scorpio	05:00-07:30	Sagittarius	05:00-07:30	Capricorn
07:30-10:00	Scorpio	07:30-10:00	Sagittarius	07:30-10:00	Capricorn	07:30-10:00	Aquarius
10:00-12:30	Sagittarius	10:00-12:30	Capricorn	10:00-12:30	Aquarius	10:00-12:30	Pisces
12:30-15:00	Capricorn	12:30-15:00	Aquarius	12:30-15:00	Pisces	12:30-15:00	Aries
15:00-17:30	Aquarius	15:00-17:30	Pisces	15:00-17:30	Aries	15:00-17:30	Taurus
17:30-20:00	Pisces	17:30-20:00	Aries	17:30-20:00	Taurus	17:30-20:00	Gemini
20:00-22:30	Aries	20:00-22:30	Taurus	20:00-22:30	Gemini	20:00-22:30	Cancer
22:30-25:00	Taurus	22:30-25:00	Gemini	22:30-25:00	Cancer	22:30-25:00	Leo
25:00-27:30	Gemini	25:00-27:30	Cancer	25:00-27:30	Leo	25:00-27:30	Virgo
27:30-30:00	Cancer	27:30-30:00	Leo	27:30-30:00	Virgo	27:30-30:00	Libra
Sagittarius		Capricorn		Aquarius		Pisces	
00:00-02:30	Sagittarius	00:00-02:30	Capricorn	00:00-02:30	Aquarius	00:00-02:30	Pisces
02:30-05:00	Capricorn	02:30-05:00	Aquarius	02:30-05:00	Pisces	02:30-05:00	Aries
05:00-07:30	Aquarius	05:00-07:30	Pisces	05:00-07:30	Aries	05:00-07:30	Taurus
07:30-10:00	Pisces	07:30-10:00	Aries	07:30-10:00	Taurus	07:30-10:00	Gemini
10:00-12:30	Aries	10:00-12:30	Taurus	10:00-12:30	Gemini	10:00-12:30	Cancer
12:30-15:00	Taurus	12:30-15:00	Gemini	12:30-15:00	Cancer	12:30-15:00	Leo
15:00-17:30	Gemini	15:00-17:30	Cancer	15:00-17:30	Leo	15:00-17:30	Virgo
17:30-20:00	Cancer	17:30-20:00	Leo	17:30-20:00	Virgo	17:30-20:00	Libra
20:00-22:30	Leo	20:00-22:30	Virgo	20:00-22:30	Libra	20:00-22:30	Scorpio
22:30-25:00	Virgo	22:30-25:00	Libra	22:30-25:00	Scorpio	22:30-25:00	Sagittarius
25:00-27:30	Libra	25:00-27:30	Scorpio	25:00-27:30	Sagittarius	25:00-27:30	Capricorn
27:30-30:00	Scorpio	27:30-30:00	Sagittarius	27:30-30:00	Capricorn	27:30-30:00	Aquarius

If you refer back to the last lesson, you'll see that the New Moon of 1/24/01 correlated to a 3-bar high of 69.13 in the price of the NDX 100 tracking stock (QQQ). The day of the duad for that New Moon was 1/26, and that related to a 3-bar low of 63.00 for the Qs. Remember that a 3-bar high or low is only confirmed if immediately followed by a 3-bar price reversal. However, once confirmed it becomes a major short-term resistance or support level. Note that on February 2nd the QQQ went under that 63.00 duad low. That was a powerful short-term sell signal. In fact, the Qs remained in a sell mode until April 18th, when you would have reversed and gone long at 43.84. That equates to a profit of 60.8%, based on using the standard 50% margin. Here's what's even more impressive than that performance; literally all of the important turning points were correlated to a lunar phase or duad date. That means that you were consistently lowering the resistance level (or buy point) for the stock. Take a look at the daily price chart of the QQQ, and I'll list the correlated dates since the beginning of this year:

1/24 High at 69.13
1/26 Low at 63.00
2/14 Low at 54.13 (prices broke under 63.00 on 2/01, giving a sell).
2/15 High at 60.49 (lower the buy point to 60.50)
3/02 Low at 45.65
3/06 High at 50.66 (lower the buy point to 50.67)
3/12 Low at 41.80
3/15 High at 45.32 (lower the buy point to 45.33)
3/22 Low at 39.49
3/23 High at 43.83 (lower the buy point to 43.84)
4/04 Low at 33.60
4/17 Low at 39.90 (the next day prices went above the 3/23 High of 43.83 issuing a buy signal).
4/25 Low at 43.10 (raise the sell point to 43.09)
5/02 High at 49.40
5/16 Low at 44.06 (raise the sell point to 44.05)
5/22 High at 51.95
5/30 Low at 44.08 (there's a possible duad low of 44.23 on 6/12, but it hasn't been confirmed yet).

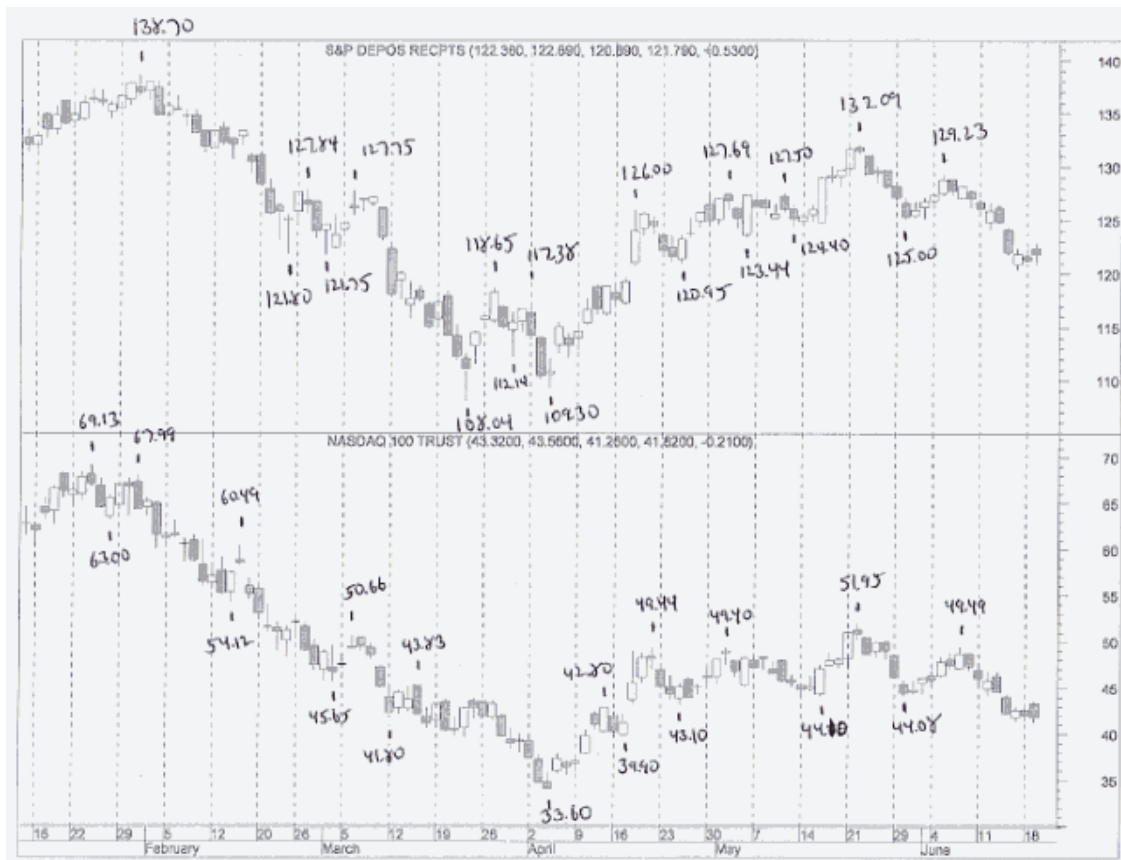


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Lesson 26

Intermarket analysis is the comparison of the price action of one market to another. The most widely endorsed use of intermarket analysis hails from the Dow Theory, whereby the movement of the Dow Jones Industrial Average is compared with the Dow Jones Transportation Average. The theory holds that if both averages are trending higher, the investor should conclude that the underlying fundamentals driving the stock market are sound, and that the trend of the market is up. When one of the averages begin to diverge; for example, one average trends to higher highs, while the other average fails to make a higher high, a warning is signaled. The key point is that intermarket analysis can aid the investor in determining the trend of the market, as well as alert the investor to a potential trend reversal. The 3-bar reversal technique is an important tool I use for examining the short-term cyclical characteristics of a stock or futures contract. A confirmed 3-bar high or low defines the highs (or lows), but it is vital to remember that a confirmed high (or low) in a stock can only occur when there has been an immediate 3-bar price reversal off that 3-bar high (or low). For example, the S&P 500 tracking stock (SPY) made a 3-bar high of 129.23 on June 5th of this year. This means that on June 5th, the SPY made a higher intraday high than it had on the previous three trading days. That high of 129.23 was confirmed as a major high when it was followed by an immediate 3-bar price reversal. The actual day of the price reversal was June 8th. On that day the SPY went lower intraday than it had in the previous three trading sessions. You'll find a chart of the S&P 500 tracking stock (SPY) and the NDX 100 tracking stock (QQQ) posted below. Note that I've marked all of the confirmed 3-bar highs and lows for both stocks. When conducting an intermarket analysis between two stocks, it's important that they perform in relatively the same manner. A quick look at the accompanying daily price chart shows that the SPY and QQQ are good candidates for intermarket divergence analysis...



The QQQ made a confirmed 3-bar high of 69.13 on 1/24 of this year, which was followed by a confirmed 3-bar low of 63.00 on 1/26. This, in turn, led to another confirmed 3-bar high of 67.99 on 1/31. While the QQQ was busy forming these highs and low during this period, the SPY only made one confirmed 3-bar high of 138.70 on 1/31. Does this mean we should just go on, and not pay attention to this time frame? The answer to that question is no! In intermarket divergence analysis, if one of the stocks makes a confirmed 3-bar high or low, you need to carefully check the other stock's price performance during that same period. The SPY made a 3-bar high of 137.31 on 1/24, which was the same day QQQ hit a 3-bar high of 69.13. The SPY followed this with a low of 134.43 on 1/26, which was the same day the QQQ made its 3-bar low of 63.00. The SPY was only able to achieve a 2-bar downside price reversal, so you can see that the 1/24 high of 137.31 and the 1/26 low of 134.43 are not marked on the accompanying chart. I'll show you how to deal with this type of situation, as well as completing the divergence analysis between these two stocks, in the next lesson.



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Lesson 27

It's very important to compare the right stocks (or futures contracts) when scanning for divergences. The S&P 500 tracking stock (SPY) and the NDX 100 tracking stock (QQQ) have a long history of moving in synch with each other. Of course there are periods when they diverge from that norm, but it's precisely at those times that we (the investors) have the greatest opportunities for profit. We finished off last week's lesson by examining the 1/24 to 1/31 time frame between the SPY and QQQ. The QQQ made a confirmed 3-bar high of 69.13 on 1/24, a confirmed 3-bar low of 63.00 on 1/26 and a 3-bar high of 67.99 on 1/31 (see last week's chart). During that same period the SPY only managed to form a 3-bar high on 1/31. However, you shouldn't necessarily disregard this time frame, because the SPY did make a 2-bar reversal on 1/26! When two stocks historically move in synch, I will accept a 2-bar reversal from one of them during periods of congestion. A 2-bar reversal simply means that the stock went lower than the prior 2-days' lows. The SPY and QQQ both made 3-bar highs on 1/24. Note that the SPY's subsequent 2-bar low of 134.43 occurred on the exact same day (1/26) as the QQQ's 3-bar low of 63.00. The SPY then proceeded to move above its 1/24 high, while the Qs fell short of its 1/24 high. This price action was signaling the very real possibility of a negative divergence between these two stocks. All that was needed to confirm that divergence was a lower low for both stocks (on the same day). On 2/01 they both dropped under the prior days' (1/31) lows, and this confirmed the negative divergence. Check out the daily price chart from the previous lesson, and you can see how quickly prices fell for both of these stocks.

The next divergence period occurred between 3/22 and 4/04 of this year. I won't detail every high and low price for this time frame, but you can easily see how the SPY's 3-bar low on 4/04 held above its 3/22 low. Now look at the Qs 4/04 low, and you can see that it's well below the low it made on 3/22. Confirmation of this positive divergence came on 4/05, as they both proceeded to take out their prior days' highs. Once again, as you can see from last week's accompanying price chart, the 2-bar reversal played an important role during this congestion period. The SPY made a confirmed 3-bar low on 3/22, whereas the Qs could only manage a 2-bar reversal off those lows. From the high it made on 3/23, the QQQ went straight down to its subsequent low on 4/04. The SPY did make another 3-bar low and high between 3/29 and 4/02, but this wasn't corroborated by the QQQ (no 2-bar reversal); so it

should have been disregarded in your analysis. Cyclical (or astrological) analysis should always be considered in divergence analysis. It will dramatically improve your odds of success in working with divergences. This will be the focus of next week's lesson.